

BURLINGTON COMMUNITY SCHOOL DISTRICT

INDEPENDENT AUDITOR'S REPORTS
BASIC FINANCIAL STATEMENTS AND
SUPPLEMENTARY INFORMATION
SCHEDULE OF FINDINGS AND QUESTIONED COSTS

JUNE 30, 2025

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Burlington Community School District

Officials

<u>Name</u>	<u>Title</u>	<u>Term Expires</u>
Board of Education		
Anika McVay	President	2027
Darven Kendell	Vice President	2025
Deborah Hatteberg	Board Member	2027
Christi Burghoffer	Board Member	2025
Bryan Bross	Board Member	2025
Tammy Anderson	Board Member	2027
William Vance	Board Member	2027
School Officials		
Robert Scott	Superintendent	2025
Greg Reynolds	Board Secretary/Treasurer and School Business Official	2025
Ahlers & Cooney, P.C.	Attorney	2025

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(a professional corporation)
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Telephone (641) 792-1910

INDEPENDENT AUDITOR'S REPORT

To the Board of Education of Burlington Community School District:

Report on the Audit of the Financial Statements

Opinions

We have audited the financial statements of the governmental activities, the business type activities, each major fund and the aggregate remaining fund information of Burlington Community School District, Burlington, Iowa, as of and for the year ended June 30, 2025, and the related Notes to Financial Statements, which collectively comprise the District's basic financial statements listed in the table of contents.

In our opinion, the accompanying financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, the business type activities, each major fund and the aggregate remaining fund information of the Burlington Community School District as of June 30, 2025 and the respective changes in financial position, and, where applicable, cash flows thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinions

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (GAAS) and the standards applicable to financial audits contained in Government Auditing Standards issued by the Comptroller General of the United States. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of Burlington Community School District, and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements related to our audit. We believe the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Burlington Community School District's ability to continue as a going concern for twelve months beyond the financial statement date, including any currently known information that may raise substantial doubt shortly thereafter.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinions. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS and Government Auditing Standards will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgement made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS and Government Auditing Standards, we:

- Exercise professional judgement and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Burlington Community School District's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgement, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Burlington Community School District's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Required Supplementary Information

Accounting principles generally accepted in the United States of America require Management's Discussion and Analysis, the Budgetary Comparison Information, the Schedule of the District's Proportionate Share of the Net Pension Liability, the Schedule of District Contributions and the Schedule of Changes in the District's Total OPEB Liability, Related Ratios and Notes on pages 7 through 16 and 46 through 52 be presented to supplement the basic financial statements. Such information is the responsibility of management and, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic or historical context. We have applied certain limited procedures to the required supplementary information in accordance with GAAS, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Supplementary Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise Burlington Community School District's basic financial statements. We previously audited, in accordance with the standards referred to in the third paragraph of this report, the financial statements for the nine years ended June 30, 2024 (which are not presented herein) and expressed unmodified opinions on those financial statements. The supplementary information included in Schedules 1 through 9, including the Schedule of Expenditures of Federal Awards required by Title 2, U.S. Code of Federal Regulations, Part 200, Uniform Administrative Requirements, Cost Principles and Audit Requirements for Federal Awards (Uniform Guidance), is presented for purposes of additional analysis and is not a required part of the basic financial statements.

Such information, including the Schedule of Expenditures of Federal Awards, is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. The information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with GAAS. In our opinion, the supplementary information in Schedules 1 through 9, including the Schedule of Expenditures of Federal Awards, is fairly stated, in all material respects, in relation to the basic financial statements taken as a whole.

Other Information

Management is responsible for the other information in the independent auditor's report. The other information comprises the officials page but does not include the basic financial statements and our auditor's report thereon. Our opinions on the basic financial statement do not cover the other information, and we do not express an opinion or any form of assurance thereon.

In connection with our audit of the basic financial statements, our responsibility is to read the other information and consider whether a material inconsistency exists between the other information and the basic financial statements or the other information otherwise appears to be materially misstated. If, based on the work performed, we conclude that an uncorrected material misstatement of the other information exists, we are required to describe it in our report.

Other Reporting Required by Government Auditing Standards

In accordance with Government Auditing Standards, we have also issued our report dated February 26, 2026 on our consideration of Burlington Community School District's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing and not to provide an opinion on the effectiveness of the District's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with Government Auditing Standards in considering Burlington Community School District's internal control over financial reporting and compliance.



NOLTE, CORNMAN & JOHNSON, P.C.

February 26, 2026
Newton, Iowa

MANAGEMENT'S DISCUSSION AND ANALYSIS

Burlington Community School District provides this Management's Discussion and Analysis of its financial statements. This narrative overview and analysis of the financial activities is for the fiscal year ended June 30, 2025. We encourage readers to consider this information in conjunction with the District's financial statements, which follow.

2025 FINANCIAL HIGHLIGHTS

- The District's total net position increased from \$90,424,686 at June 30, 2024 to \$93,012,875 at June 30, 2025. Total revenues decreased from \$64,745,402 in fiscal year 2024 to \$63,468,667 in fiscal year 2025, a 1.97% decrease, while total expenses increased from \$60,609,003 in fiscal year 2024 to \$60,880,478 in fiscal year 2025, a 0.45% increase from to the prior year. Revenues from capital grants, contributions and restricted interest decreased \$1,672,341 compared to the prior year contributing to the decrease in total revenues. The increase in total expenses occurred mainly in the support services functional area.
- The District's General Fund revenues decreased from \$52,778,854 in fiscal year 2024 to \$51,199,565 in fiscal year 2025, while General Fund expenditures decreased from \$57,994,098 in fiscal year 2024 to \$56,104,682 in fiscal year 2025. The District's General Fund balance decreased from \$9,739,831 at June 30, 2024 to \$4,834,714 at June 30, 2025, a 50.36% decrease from the prior year.
- The decrease in fiscal year 2025 General Fund revenues is due primarily to a decrease in revenues from federal grants while the decrease in expenditures was due in part to a decrease in expenditures for operation and maintenance of plant support services compared to the prior year.
- The District implemented an Individual Coverage Health Reimbursement Arrangement (ICHRA) for eligible retirees. Under this arrangement, plan premiums are based on age causing retirees to pay premiums that reflect their true anticipated claims. As a result, the District no longer bears any direct or implied obligation for future retiree healthcare costs and, therefore, the total OPEB liability of \$1,933,827, OPEB-related deferred outflows of resources of \$682,335 and OPEB-related deferred inflows of resources of \$1,077,020, were fully eliminated. This transition reduced the District's long-term liabilities and resulted in a one-time decrease in OPEB expense recognized in the government-wide financial statements for fiscal year 2025.
- Effective July 1, 2024, the District implemented GASB Statement No. 101, Compensated Absences. The provisions of this standard modernize the types of leave that are considered a compensated absence and provides guidance for a consistent recognition and measurement of the compensated absence liability. Implementation of this standard did not have a significant effect on the District's financial statements.

USING THIS ANNUAL REPORT

The annual report consists of a series of financial statements and other information, as follows:

Management's Discussion and Analysis introduces the basic financial statements and provides an analytical overview of the District's financial activities.

The Government-wide Financial Statements consist of a Statement of Net Position and a Statement of Activities. These provide information about the activities of Burlington Community School District as a whole and present an overall view of the District's finances.

The Fund Financial Statements tell how governmental and business type activities were financed in the short term as well as what remains for future spending. Fund financial statements report Burlington Community School District's operations in more detail than the government-wide statements by providing information about the most significant funds. The remaining financial statements provide information about activities for which Burlington Community School District acts solely as an agent or custodian for the benefit of those outside of the District.

Notes to Financial Statements provide additional information essential to a full understanding of the data provided in the basic financial statements.

Required Supplementary Information further explains and supports the financial statements with a comparison of the District's budget for the year, the District's proportionate share of the net pension liability and related contributions, as well as presenting the Schedule of Changes in the District's Total OPEB Liability, Related Ratios and Notes.

Supplementary Information provides detailed information about the nonmajor governmental funds. In addition, the Schedule of Expenditures of Federal Awards provides details of various federal programs benefiting the District.

Figure A-1 shows how the various parts of this annual report are arranged and relate to one another.

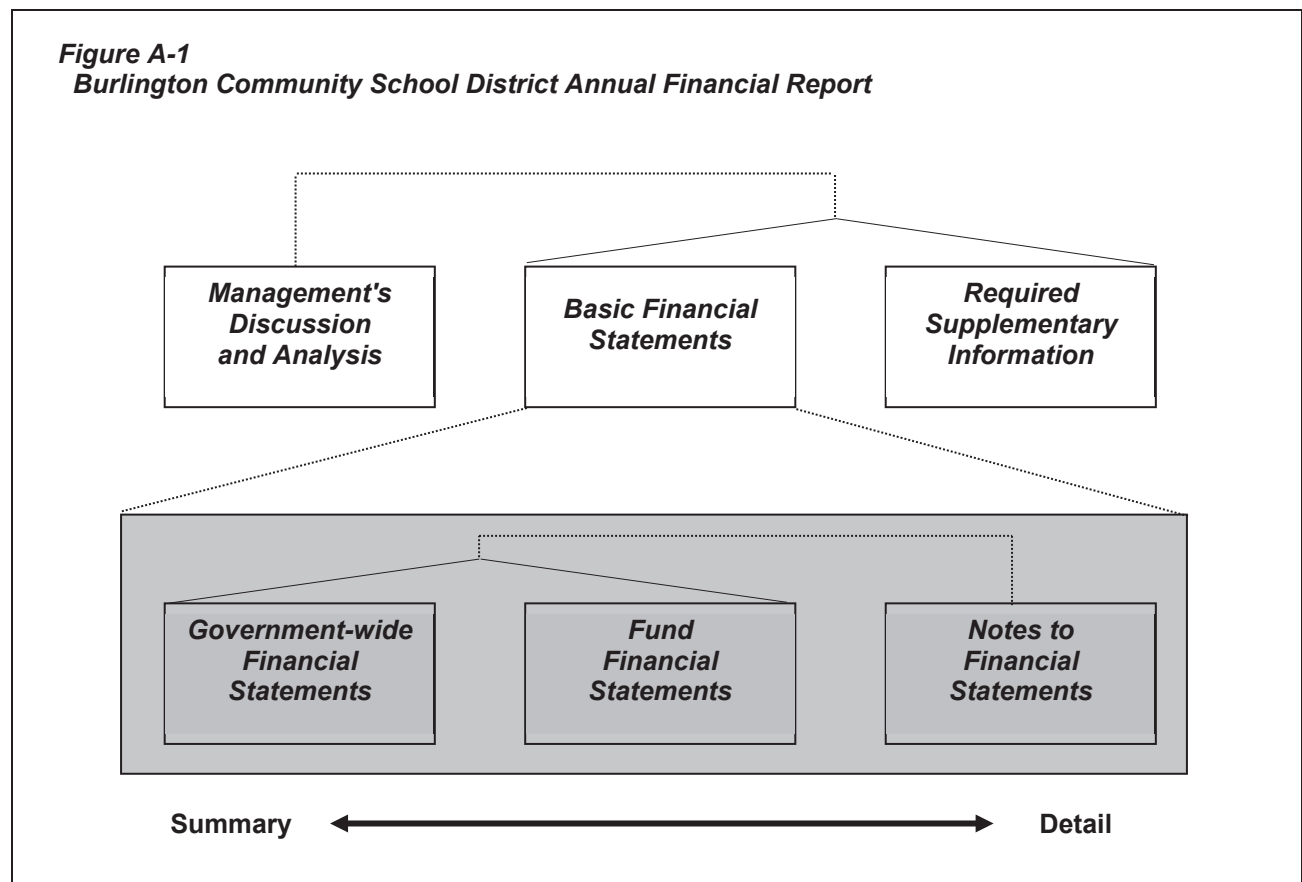


Figure A-2 summarizes the major features of the District's financial statements, including the portion of the District's activities they cover and the types of information they contain.

Figure A-2				
Major Features of the Government-Wide and Fund Financial Statements				
	Government-wide Statements	Fund Statements		
		Governmental Funds	Proprietary Funds	Fiduciary Funds
Scope	Entire district (except fiduciary funds)	The activities of the district that are not proprietary or fiduciary, such as special education and building maintenance	Activities the district operates similar to private businesses: food service, early childhood center and student construction	Instances in which the district administers resources on behalf of someone else, such as scholarship programs
Required financial statements	· Statement of net position · Statement of activities	· Balance sheet · Statement of revenues, expenditures, and changes in fund balances	· Statement of net position · Statement of revenues, expenses and changes in fund net position · Statement of cash flows	· Statement of fiduciary net position · Statement of changes in fiduciary net position
Accounting basis and measurement focus	Accrual accounting and economic resources focus	Modified accrual accounting and current financial resources focus	Accrual accounting and economic resources focus	Accrual accounting and economic resources focus
Type of asset/liability information	All assets and liabilities, both financial and capital, short-term and long-term	Generally assets expected to be used up and liabilities that come due during the year or soon thereafter; no capital assets or long-term liabilities included	All assets and liabilities, both financial and capital, and short-term and long-term	All assets and liabilities, both short-term and long-term; funds do not currently contain capital assets, although they can
Type of deferred outflow / inflow information	Consumption/acquisition of net position that is applicable to a future reporting period	Consumption/ acquisition of fund balance that is applicable to a future reporting period	Consumption/ acquisition of net position that is applicable to a future reporting period	Consumption/ acquisition of net position that is applicable to a future reporting period.
Type of inflow / outflow information	All revenues and expenses during year, regardless of when cash is received or paid	Revenues for which cash is received during or soon after the end of the year; expenditures when goods or services have been received and the related liability is due during the year or soon thereafter	All revenues and expenses during the year, regardless of when cash is received or paid	All additions and deductions during the year, regardless of when cash is received or paid

REPORTING THE DISTRICT'S FINANCIAL ACTIVITIES

Government-wide Financial Statements

The government-wide financial statements report information about the District as a whole using accounting methods similar to those used by private-sector companies. The Statement of Net Position includes all of the District's assets, deferred outflows of resources, liabilities and deferred inflows of resources, with the difference reported as net position. All of the current year's revenues and expenses are accounted for in the Statement of Activities, regardless of when cash is received or paid.

The two government-wide financial statements report the District's net position and how it has changed. Net Position is one way to measure the District's financial health or financial position. Over time, increases or decreases in the District's net position is an indicator of whether financial position is improving or deteriorating. To assess the District's overall health, additional non-financial factors, such as changes in the District's property tax base and the condition of school buildings and other facilities, need to be considered.

In the government-wide financial statements, the District's activities are divided into two categories:

- **Governmental activities:** Most of the District's basic services are included here, such as regular and special education, transportation and administration. Property tax and state aid finance most of these activities.
- **Business type activities:** The District charges fees to help cover the costs of certain services it provides. The District's school nutrition program is included here.

Fund Financial Statements

The fund financial statements provide more detailed information about the District's funds, focusing on its most significant or "major" funds - not the District as a whole. Funds are accounting devices the District uses to keep track of specific sources of funding and spending on particular programs.

Some funds are required by state law and by bond covenants. The District establishes other funds to control and manage money for particular purposes, such as accounting for student activity funds, or to show that it is properly using certain revenues, such as federal grants.

The District has three kinds of funds:

- 1) **Governmental funds:** Most of the District's basic services are included in governmental funds, which generally focus on (1) how cash and other financial assets that can readily be converted to cash flow in and out and (2) the balances left at year-end that are available for spending. Consequently, the governmental fund statements provide a detailed short-term view that helps determine whether there are more or fewer financial resources that can be spent in the near future to finance the District's programs.

The District's governmental funds include the General Fund, the Special Revenue Funds, the Debt Service Fund and the Capital Projects Fund.

The required financial statements for governmental funds include a Balance Sheet and a Statement of Revenues, Expenditures and Changes in Fund Balances.

- 2) **Proprietary funds:** Services for which the District charges a fee are generally reported in proprietary funds. Proprietary funds are reported in the same way as the government-wide financial statements. The District's Enterprise Funds, one type of proprietary fund, are the same as its business type activities, but provide more detail and additional information, such as cash flows. The District currently has three Enterprise Funds, the School Nutrition Fund, the Corse Early Childhood Center Fund and the Student Construction Fund. The District's Internal Service Fund, another type of proprietary fund, is the same as the governmental activities, but provides more detail and additional information, such as cash flows. The District currently has one Internal Service Fund used to report activities associated with the District's partially self-funded health insurance plan.

The required financial statements for proprietary funds include a Statement of Net Position, a Statement of Revenues, Expenses and Changes in Fund Net Position and a Statement of Cash Flows.

- 3) **Fiduciary funds:** The District is the trustee, or fiduciary, for assets that belong to others. This fund includes the Private Purpose Trust Fund.

- Private Purpose Trust Fund - The District accounts for outside donations for scholarships for individual students in this fund.

The District is responsible for ensuring that the assets reported in the fiduciary funds are used only for their intended purposes and by those to whom the assets belong. The District excludes these activities from the government-wide financial statements because it cannot use these assets to finance its operations.

The required financial statements for fiduciary funds include a Statement of Fiduciary Net Position and a Statement of Changes in Fiduciary Net Position.

Reconciliations between the government-wide financial statements and the governmental fund financial statements follow the governmental fund financial statements.

GOVERNMENT-WIDE FINANCIAL ANALYSIS

Figure A-3 below provides a summary of the District's net position at June 30, 2025 compared to June 30, 2024.

Figure A-3 Condensed Statement of Net Position							
	Governmental Activities		Business Type Activities		Total District		Total Change
	June 30,		June 30,		June 30,		June 30,
	2025	2024	2025	2024	2025	2024	2024-25
Current and other assets	\$ 63,550,033	75,642,491	1,150,573	1,084,854	64,700,606	76,727,345	-15.67%
Capital assets	108,248,983	98,901,048	55,336	41,925	108,304,319	98,942,973	9.46%
Total assets	171,799,016	174,543,539	1,205,909	1,126,779	173,004,925	175,670,318	-1.52%
Deferred outflows of resources	3,810,222	5,925,260	122,215	177,154	3,932,437	6,102,414	-35.56%
Long-term liabilities	52,595,783	59,004,541	398,330	476,299	52,994,113	59,480,840	-10.91%
Other liabilities	12,232,281	13,897,245	80,812	63,686	12,313,093	13,960,931	-11.80%
Total liabilities	64,828,064	72,901,786	479,142	539,985	65,307,206	73,441,771	-11.08%
Deferred inflows of resources	18,581,653	17,859,225	35,628	47,050	18,617,281	17,906,275	3.97%
Net position:							
Net investment in capital assets	67,836,980	67,003,487	55,336	41,925	67,892,316	67,045,412	1.26%
Restricted	28,476,879	26,407,638	-	-	28,476,879	26,407,638	7.84%
Unrestricted	(4,114,338)	(3,703,337)	758,018	674,973	(3,356,320)	(3,028,364)	-10.83%
Total net position	\$ 92,199,521	89,707,788	813,354	716,898	93,012,875	90,424,686	2.86%

The District's total net position increased 2.86%, or \$2,588,189, from the prior year.

The largest portion of the District's net position is invested in capital assets (e.g., land, infrastructure, intangibles, buildings, equipment and right-to-use leased assets), less the related debt. The debt related to the investment in capital assets is liquidated with resources other than capital assets.

Restricted net position represents resources subject to external restrictions, constitutional provisions or enabling legislation on how they can be used. The District's restricted net position increased \$2,069,241, or 7.84%, from the prior year. The increase in restricted net position is primarily a result of the increase in the amount restricted for school infrastructure compared to the prior year.

Unrestricted net position - the part of net position that can be used to finance day-to-day operations without constraints established by debt covenants, enabling legislation or other legal requirements - decreased \$327,956, or 10.83%. This decrease in unrestricted net position was primarily the result of the decrease in the District's unassigned General Fund balance.

Figure A-4 shows the changes in net position for the year ended June 30, 2025 compared to the year ended June 30, 2024.

Figure A-4 Changes in Net Position							
	Governmental Activities		Business Type Activities		Total District		Total Change
	2025	2024	2025	2024	2025	2024	2024-25
Revenues:							
Program revenues:							
Charges for service	\$ 1,555,209	1,263,179	316,957	386,878	1,872,166	1,650,057	13.46%
Operating grants, contributions and restricted interest	7,067,147	8,451,660	2,073,966	1,998,216	9,141,113	10,449,876	-12.52%
Capital grants, contributions and restricted interest	364,946	2,037,287	-	-	364,946	2,037,287	-82.09%
General revenues:							
Property tax	13,045,532	12,409,320	-	-	13,045,532	12,409,320	5.13%
Statewide sales, services and use tax	5,021,731	5,085,280	-	-	5,021,731	5,085,280	-1.25%
Unrestricted state grants	31,404,014	30,042,738	-	-	31,404,014	30,042,738	4.53%
Unrestricted investment earnings	2,487,071	2,929,589	34,306	37,040	2,521,377	2,966,629	-15.01%
Other	75,446	82,091	22,342	22,124	97,788	104,215	-6.17%
Total revenues	61,021,096	62,301,144	2,447,571	2,444,258	63,468,667	64,745,402	-1.97%
Program expenses:							
Instruction	35,879,236	35,090,360	356,298	462,273	36,235,534	35,552,633	1.92%
Support services	19,483,064	17,235,254	123,343	125,376	19,606,407	17,360,630	12.94%
Non-instructional programs	26,366	31,085	1,887,308	1,728,627	1,913,674	1,759,712	8.75%
Other expenses	5,453,375	5,936,028	-	-	5,453,375	5,936,028	-8.13%
OPEB liability elimination*	(2,312,678)	-	(15,834)	-	(2,328,512)	-	-100.00%
Total expenses	58,529,363	58,292,727	2,351,115	2,316,276	60,880,478	60,609,003	0.45%
Excess of revenues over expenses	2,491,733	4,008,417	96,456	127,982	2,588,189	4,136,399	-37.43%
Transfers	-	70,000	-	(70,000)	-	-	0.00%
Change in net position	2,491,733	4,078,417	96,456	57,982	2,588,189	4,136,399	-37.43%
Net position beginning of year	89,707,788	85,629,371	716,898	658,916	90,424,686	86,288,287	4.79%
Net position end of year	\$ 92,199,521	89,707,788	813,354	716,898	93,012,875	90,424,686	2.86%

In fiscal year 2025, property tax and use tax and unrestricted state grants accounted for 72.84% of governmental activities revenues while charges for service and operating grants, contributions and restricted interest accounted for 97.69% of business type activities revenues.

The District's total revenues were approximately \$63.47 million, of which approximately \$61.02 million was for governmental activities and approximately \$2.45 million was for business type activities.

As shown in Figure A-4, the District as a whole experienced a 1.97% decrease in revenues and a 0.45% increase in expenses. The primary reason for the decrease in total revenues was a decrease in revenues from capital grants, contributions and restricted interest compared to the prior year. The increase in total expenses occurred mainly in the support services functional area.

Governmental Activities

Revenues for governmental activities were \$61,021,096 and expenses were \$58,529,363 for the year ended June 30, 2025.

The following table presents the total and net cost of the District's major governmental activities, instruction, support services, non-instructional programs and other expenses, for the year ended June 30, 2025 compared to those expenses for the year ended June 30, 2024.

Figure A-5						
Total and Net Cost of Governmental Activities						
	Total Cost of Services			Net Cost of Services		
	2025	2024	Change 2024-25	2025	2024	Change 2024-25
Instruction	\$ 35,879,236	35,090,360	2.25%	29,586,702	28,156,992	5.08%
Support services	19,483,064	17,235,254	13.04%	18,446,359	14,372,050	28.35%
Non-instructional programs	26,366	31,085	-15.18%	17,648	20,407	-13.52%
Other expenses	5,453,375	5,936,028	-8.13%	3,804,030	3,991,152	-4.69%
OPEB liability elimination*	(2,312,678)	-	-100.00%	(2,312,678)	-	-100.00%
Total	<u>\$ 58,529,363</u>	<u>58,292,727</u>	<u>0.41%</u>	<u>49,542,061</u>	<u>46,540,601</u>	<u>6.45%</u>

For the year ended June 30, 2025:

- The cost financed by users of the District's programs was \$1,555,209.
- Federal and state governments along with contributions from local sources subsidized certain programs and projects with grants and contributions totaling \$7,432,093.
- The net cost of governmental activities was financed with \$13,045,532 in property tax, \$5,021,731 in statewide sales, services and use tax, \$31,404,014 in unrestricted state grants, \$2,487,071 in interest income and \$75,446 in other general revenues.

Business Type Activities

Revenues of the District's business type activities during the year ended June 30, 2025 were \$2,447,571, a 0.14% increase from the prior year, and expenses were \$2,351,115, a 1.50% increase from the prior year. The District's business type activities include the School Nutrition Fund, the Corse Early Childhood Center Fund and the Student Construction Fund. Revenues of these activities were comprised of charges for service, federal and state reimbursements, donations, investments and other income.

INDIVIDUAL FUND ANALYSIS

As previously noted, Burlington Community School District uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements.

The financial performance of the District as a whole is reflected in its governmental funds, as well. As the District completed the year, its governmental funds reported combined fund balances of \$33,236,226, below last year's ending combined fund balances of \$45,921,361. The decrease in combined fund balances is largely due to the decrease in the Capital Projects: Statewide Sales, Services and Use Tax Fund balance.

Governmental Fund Highlights

- The District's General Fund financial position is the product of many factors. The General Fund balance decreased from \$9,739,831 at June 30, 2024 to \$4,834,714 at June 30, 2025. Total revenues decreased from the prior year primarily due to a decrease in revenues from federal grants while total expenditures decreased due primarily to decreases in expenditures for operation and maintenance of plant staff support services compared to the prior year.
- The Capital Projects Fund balance decreased from \$26,188,770 at June 30, 2024 to \$18,432,736 at June 30, 2025. This decrease was mainly caused by continued construction activity for various infrastructure projects.

Proprietary Fund Highlights

The School Nutrition Fund net position increased 21.82% from \$684,654 at June 30, 2024 to \$834,012 at June 30, 2025. The Corse Early Childhood Center Fund net position deteriorated from \$2,520 at June 30, 2024 to deficit \$50,392 at June 30, 2025. The Student Construction Fund did not report activity during the year.

BUDGETARY HIGHLIGHTS

The District's revenues were \$2,670,080 less than budgeted revenues, a variance of 4.04%. The most significant variance resulted from the District receiving less from local sources than originally anticipated.

Total expenditures were less than budgeted, primarily due to the District's budget for the General Fund. It is the District's practice to budget expenditures using realistic projections based from prior year expenditures with a buffer built as to not exceed the annual budget. The District then manages or controls General Fund spending through its line-item budget. As a result, the District's certified budget should always exceed actual expenditures for the year.

CAPITAL ASSETS AND DEBT ADMINISTRATION

Capital Assets

At June 30, 2025, the District had invested approximately \$108.30 million, net of accumulated depreciation/amortization, in a broad range of capital assets, including land, buildings, athletic facilities, computers, audio-visual equipment and transportation equipment. (See Figure A-6) This represents a net increase of 9.46% from last year. More detailed information about the District's capital assets is presented in Note 6 to the financial statements. Depreciation/amortization expense for the year was \$2,840,265 for governmental activities and \$21,603 for business type activities.

The original cost of the District's capital assets was approximately \$169,030,410. Governmental activities accounted for approximately \$168,276,917, with the remainder of approximately \$753,493 accounted for in the Enterprise, School Nutrition Fund.

The largest change in capital asset activity during the year occurred in the construction in progress category. The District's construction in progress, totaled \$41,004,370 at June 30, 2025, compared to \$31,961,052 reported at June 30, 2024. This increase resulted primarily from continued construction activity associated with the high school air quality project and the high school addition/renovation project.

Figure A-6								
Capital Assets, Net of Depreciation/Amortization								
	Governmental Activities		Business Type Activities		Total District		Total Change	
	June 30,		June 30,		June 30,		June 30,	
	2025	2024	2025	2024	2025	2024	2024-25	
Land	\$ 3,024,924	2,998,834	-	-	3,024,924	2,998,834	0.87%	
Construction in progress	41,004,370	31,961,052	-	-	41,004,370	31,961,052	28.29%	
Buildings	58,573,654	58,675,006	-	-	58,573,654	58,675,006	-0.17%	
Land improvements	1,611,939	1,507,818	-	-	1,611,939	1,507,818	6.91%	
Machinery and equipment	3,520,695	3,412,501	55,336	41,925	3,576,031	3,454,426	3.52%	
Right-to-use leased assets	513,401	345,837	-	-	513,401	345,837	48.45%	
Total	\$ 108,248,983	98,901,048	55,336	41,925	108,304,319	98,942,973	9.46%	

Long-Term Debt

At June 30, 2025, the District had \$40,866,297 of total long-term debt outstanding. This represents a decrease of 3.68% from last year. (See Figure A-7) Additional information about the District's long-term debt is presented in Note 7 to the financial statements.

The District had outstanding revenue bonded indebtedness of \$40,335,000 at June 30, 2025, payable solely from the proceeds of the statewide sales, services and use tax revenues received by the District.

The District had outstanding indebtedness from lease agreements totaling \$531,297 at June 30, 2025.

Figure A-7 Outstanding Long-Term Obligations			
	Total District		Total Change
	June 30,		June 30,
	2025	2024	2024-25
Revenue bonds	\$ 40,335,000	42,080,000	-4.15%
Lease agreements	531,297	349,723	51.92%
Total	<u>\$ 40,866,297</u>	<u>42,429,723</u>	<u>-3.68%</u>

ECONOMIC FACTORS BEARING ON THE DISTRICT'S FUTURE

At the time these financial statements were prepared and audited, the District was aware of several existing circumstances that could significantly affect its financial health in the future:

- The State of Iowa set the supplemental state aid for fiscal year 2026 at 2.0%. The District's inability to predict future revenues may continue to have a significant impact on future budget discussions. Collective bargaining settlements have averaged around 3% in recent years. As approximately 75% of the District's General Fund budget is comprised of salary and benefits, wage and salary increases realized through collective bargaining along with escalating health insurance premiums will have a significant impact on District expenses if allowable growth does not keep pace with expenditures.
- The Iowa school funding formula is highly dependent upon student enrollment. The District's certified enrollment on October 2025 decreased by 114.9 students. The District's enrollment trend continues to decline every year with the district averaging a loss of 70 students over each the last five years. State projections show a continued decline in enrollment which will continue to negatively impact the District's revenues.
- The District's solvency ratio was negatively impacted due to a property tax valuation challenge which reduced the taxable valuation by 12.5% in 2026 and the assessed property taxes were not collected resulting in a solvency ratio falling below Board policy. The District has needed to increase property taxes to stabilize its financial position.
- The Governor signed House File 68 in the 2023 legislative session which establishes a standing unlimited State general fund appropriation for an Education Savings Account Fund for students to attend non-public schools. It is unknown how many students will attend non-public schools in the District in future years. If a significant number of eligible public school students transition to non-public schools, it could have an adverse impact on the District's finances given the reduction in per pupil funding the District would otherwise receive.

CONTACTING THE DISTRICT'S FINANCIAL MANAGEMENT

This financial report is designed to provide the District's citizens, taxpayers, customers, investors and creditors with a general overview of the District's finances and to demonstrate the District's accountability for the money it receives. If you have questions about this report or need additional financial information, contact the Business and Finance Office, Burlington Community School District, 1429 West Avenue, Burlington, Iowa 52601.

BASIC FINANCIAL STATEMENTS

BURLINGTON COMMUNITY SCHOOL DISTRICT
STATEMENT OF NET POSITION
JUNE 30, 2025

	Governmental Activities	Business Type Activities	Total
Assets			
Cash and pooled investments	\$ 42,917,040	1,051,360	43,968,400
Receivables:			
Property tax:			
Delinquent	219,949	-	219,949
Succeeding year	17,203,211	-	17,203,211
Accounts	361,480	9,159	370,639
Lease	362,914	-	362,914
Due from other governments	2,485,439	57,723	2,543,162
Inventories	-	32,331	32,331
Capital assets not being depreciated/amortized	44,029,294	-	44,029,294
Capital assets, net of accumulated depreciation/amortization	64,219,689	55,336	64,275,025
Total assets	171,799,016	1,205,909	173,004,925
Deferred Outflows of Resources			
Pension related deferred outflows	3,810,222	122,215	3,932,437
Liabilities			
Accounts payable	4,688,877	23,203	4,712,080
Salaries and benefits payable	4,903,596	56,906	4,960,502
Incurred but not reported claims	873,413	-	873,413
Accrued interest payable	152,102	-	152,102
Unamortized bond premiums/discounts, net	1,614,293	-	1,614,293
Unearned revenue	-	703	703
Long-term liabilities:			
Portion due within one year:			
Revenue bonds	1,815,000	-	1,815,000
Lease agreements	121,204	-	121,204
Compensated absences	515,204	16,828	532,032
Portion due after one year:			
Revenue bonds	38,520,000	-	38,520,000
Lease agreements	410,093	-	410,093
Net pension liability	11,214,282	381,502	11,595,784
Total liabilities	64,828,064	479,142	65,307,206
Deferred Inflows of Resources			
Succeeding year property tax revenue	17,203,211	-	17,203,211
Pension related deferred inflows	1,047,298	35,628	1,082,926
Lease related deferred inflows	294,960	-	294,960
Other	36,184	-	36,184
Total deferred inflows of resources	18,581,653	35,628	18,617,281
Net Position			
Net investment in capital assets	67,836,980	55,336	67,892,316
Restricted for:			
Categorical funding	681,763	-	681,763
Debt service	4,078,608	-	4,078,608
Management levy purposes	4,737,205	-	4,737,205
Student activities	350,010	-	350,010
Support trust purposes	650,851	-	650,851
School infrastructure	17,277,356	-	17,277,356
Physical plant and equipment	701,086	-	701,086
Unrestricted	(4,114,338)	758,018	(3,356,320)
Total net position	\$ 92,199,521	813,354	93,012,875

SEE NOTES TO FINANCIAL STATEMENTS.

**BURLINGTON COMMUNITY SCHOOL DISTRICT
STATEMENT OF ACTIVITIES
YEAR ENDED JUNE 30, 2025**

	Program Revenues				Net (Expense) Revenue and Changes in Net Position		
	Expenses	Charges for	Contributions and Restricted	Contributions and Restricted	Governmental Activities	Business Type Activities	Total
		Service	Interest	Interest			
Functions/Programs:							
Governmental activities:							
Instruction:							
Regular	\$ 21,463,838	757,844	945,670	-	(19,760,324)	-	(19,760,324)
Special	8,907,149	448,139	1,611,669	-	(6,847,341)	-	(6,847,341)
Other	5,508,249	344,641	2,184,571	-	(2,979,037)	-	(2,979,037)
	35,879,236	1,550,624	4,741,910	-	(29,586,702)	-	(29,586,702)
Support services:							
Student	3,210,059	-	545,499	-	(2,664,560)	-	(2,664,560)
Instructional staff	1,966,982	-	61,394	-	(1,905,588)	-	(1,905,588)
Administration	6,733,983	-	22,979	-	(6,711,004)	-	(6,711,004)
Operation and maintenance of plant	6,162,039	-	-	364,946	(5,797,093)	-	(5,797,093)
Transportation	1,410,001	4,585	37,302	-	(1,368,114)	-	(1,368,114)
	19,483,064	4,585	667,174	364,946	(18,446,359)	-	(18,446,359)
Non-instructional programs:							
Food service operations	9,366	-	-	-	(9,366)	-	(9,366)
Community service operations	17,000	-	8,718	-	(8,282)	-	(8,282)
	26,366	-	8,718	-	(17,648)	-	(17,648)
Long-term debt interest	1,767,636	-	-	-	(1,767,636)	-	(1,767,636)
Other expenditures:							
AEA flowthrough	1,649,345	-	1,649,345	-	-	-	-
Depreciation/amortization (unallocated)*	2,036,394	-	-	-	(2,036,394)	-	(2,036,394)
	3,685,739	-	1,649,345	-	(2,036,394)	-	(2,036,394)
OPEB liability elimination**	(2,312,678)	-	-	-	2,312,678	-	2,312,678
Total governmental activities	58,529,363	1,555,209	7,067,147	364,946	(49,542,061)	-	(49,542,061)
Business type activities:							
Instruction:							
Regular	356,298	231,652	179,641	-	-	54,995	54,995
Support services:							
Instructional staff	73,362	-	-	-	-	(73,362)	(73,362)
Administration	48,807	-	-	-	-	(48,807)	(48,807)
Operation and maintenance of plant	1,174	-	-	-	-	(1,174)	(1,174)
	123,343	-	-	-	-	(123,343)	(123,343)
Non-instructional programs:							
Food service operations	1,887,308	85,305	1,894,325	-	-	92,322	92,322
OPEB liability elimination**	(15,834)	-	-	-	-	15,834	15,834
Total business type activities	2,351,115	316,957	2,073,966	-	-	39,808	39,808
Total	\$ 60,880,478	1,872,166	9,141,113	364,946	(49,542,061)	39,808	(49,502,253)
General Revenues:							
Property tax levied for:							
General purposes					\$ 11,884,831	-	11,884,831
Capital outlay					1,160,701	-	1,160,701
Statewide sales, services and use tax					5,021,731	-	5,021,731
Unrestricted state grants					31,404,014	-	31,404,014
Unrestricted investment earnings					2,487,071	34,306	2,521,377
Other					75,446	22,342	97,788
Total general revenues					52,033,794	56,648	52,090,442
Change in net position					2,491,733	96,456	2,588,189
Net position beginning of year					89,707,788	716,898	90,424,686
Net position end of year					\$ 92,199,521	813,354	93,012,875

* This amount excludes the depreciation/amortization that is included in the direct expense of various programs.

** Negative expense reflects the derecognition of the total OPEB liability and related deferrals. See Note 8.

SEE NOTES TO FINANCIAL STATEMENTS.

BURLINGTON COMMUNITY SCHOOL DISTRICT
BALANCE SHEET
GOVERNMENTAL FUNDS
JUNE 30, 2025

	General	Capital Projects	Nonmajor	Total
Assets				
Cash and pooled investments	\$ 12,064,033	17,997,675	9,972,073	40,033,781
Receivables:				
Property tax:				
Delinquent	179,569	18,057	22,323	219,949
Succeeding year	14,350,755	1,952,452	900,004	17,203,211
Accounts	6,902	-	-	6,902
Lease	362,914	-	-	362,914
Due from other funds	-	86,483	1,200	87,683
Due from other governments	1,829,462	655,977	-	2,485,439
Total assets	\$ 28,793,635	20,710,644	10,895,600	60,399,879
Liabilities, Deferred Inflows of Resources and Fund Balances				
Liabilities:				
Due to other funds	\$ 86,483	1,200	-	87,683
Accounts payable	4,323,127	288,072	26,820	4,638,019
Salaries and benefits payable	4,903,596	-	-	4,903,596
Total liabilities	9,313,206	289,272	26,820	9,629,298
Deferred inflows of resources:				
Unavailable revenues:				
Succeeding year property tax	14,350,755	1,952,452	900,004	17,203,211
Lease	294,960	-	-	294,960
Other	-	36,184	-	36,184
Total deferred inflows of resources	14,645,715	1,988,636	900,004	17,534,355
Fund balances:				
Restricted for:				
Categorical funding	681,763	-	-	681,763
Debt service	-	-	4,230,710	4,230,710
Management levy purposes	-	-	4,737,205	4,737,205
Student activities	-	-	350,010	350,010
Support trust purposes	-	-	650,851	650,851
School infrastructure	-	17,731,650	-	17,731,650
Physical plant and equipment	-	701,086	-	701,086
Assigned	231,114	-	-	231,114
Unassigned	3,921,837	-	-	3,921,837
Total fund balances	4,834,714	18,432,736	9,968,776	33,236,226
Total liabilities, deferred inflows of resources and fund balances	\$ 28,793,635	20,710,644	10,895,600	60,399,879

SEE NOTES TO FINANCIAL STATEMENTS.

BURLINGTON COMMUNITY SCHOOL DISTRICT
RECONCILIATION OF THE BALANCE SHEET - GOVERNMENTAL FUNDS
TO THE STATEMENT OF NET POSITION
JUNE 30, 2025

Total fund balances of governmental funds (page 20)	\$ 33,236,226
<i>Amounts reported for governmental activities in the Statement of Net Position are different because:</i>	
Net capital assets used in governmental activities are not financial resources and, therefore, are not reported as assets in the governmental funds.	108,248,983
Accrued interest payable on long-term liabilities is not due and payable in the current year and, therefore, is not reported as a liability in the governmental funds.	(152,102)
Blending of the Internal Service Fund to be reflected on an entity-wide basis.	2,313,566
Net premiums/discounts associated with bond issuances are amortized over the life of the bonds in the government-wide financial statements.	(1,614,293)
Pension related deferred outflows of resources and deferred inflows of resources are not due and payable in the current year and, therefore, are not reported in the governmental funds, as follows:	
Deferred outflows of resources	\$ 3,810,222
Deferred inflows of resources	<u>(1,047,298)</u>
	2,762,924
Long-term liabilities, including revenue bonds payable, lease agreements payable, compensated absences payable and net pension liability, are not due and payable in the current year and, therefore, are not reported in the governmental funds.	<u>(52,595,783)</u>
Net position of governmental activities (page 18)	<u>\$ 92,199,521</u>

SEE NOTES TO FINANCIAL STATEMENTS.

BURLINGTON COMMUNITY SCHOOL DISTRICT
STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES
GOVERNMENTAL FUNDS
YEAR ENDED JUNE 30, 2025

	General	Capital Projects	Nonmajor	Total
Revenues:				
Local sources:				
Local tax	\$ 10,588,610	1,160,701	1,296,221	13,045,532
Tuition	1,042,039	-	-	1,042,039
Other	1,110,254	1,237,702	766,975	3,114,931
State sources	33,611,865	5,053,946	40,121	38,705,932
Federal sources	4,748,846	363,816	-	5,112,662
Total revenues	51,101,614	7,816,165	2,103,317	61,021,096
Expenditures:				
Current:				
Instruction:				
Regular	21,730,963	257,197	209,504	22,197,664
Special	9,321,928	-	-	9,321,928
Other	5,474,575	-	303,016	5,777,591
	36,527,466	257,197	512,520	37,297,183
Support services:				
Student	3,222,763	-	19,453	3,242,216
Instructional staff	1,975,801	85,371	10,286	2,071,458
Administration	6,573,407	376,209	188,391	7,138,007
Operation and maintenance of plant	4,567,925	416,181	894,598	5,878,704
Transportation	1,515,574	-	135,246	1,650,820
	17,855,470	877,761	1,247,974	19,981,205
Non-instructional programs:				
Food service operations	-	-	9,366	9,366
Community service operations	17,000	-	-	17,000
	17,000	-	9,366	26,366
Capital outlay	-	11,537,969	-	11,537,969
Long-term debt:				
Principal	-	-	1,859,341	1,859,341
Interest and fiscal charges	-	-	1,776,434	1,776,434
	-	-	3,635,775	3,635,775
Other expenditures:				
AEA flowthrough	1,649,345	-	-	1,649,345
Total expenditures	56,049,281	12,672,927	5,405,635	74,127,843
Deficiency of revenues under expenditures	(4,947,667)	(4,856,762)	(3,302,318)	(13,106,747)
Other financing sources (uses):				
Insurance proceeds	97,951	25,494	-	123,445
Proceeds from the sale of equipment	-	2,252	-	2,252
Lease agreement proceeds	-	295,915	-	295,915
Transfer in	-	55,401	3,278,334	3,333,735
Transfer out	(55,401)	(3,278,334)	-	(3,333,735)
Total other financing sources (uses)	42,550	(2,899,272)	3,278,334	421,612
Change in fund balances	(4,905,117)	(7,756,034)	(23,984)	(12,685,135)
Fund balances beginning of year	9,739,831	26,188,770	9,992,760	45,921,361
Fund balances end of year	\$ 4,834,714	18,432,736	9,968,776	33,236,226

SEE NOTES TO FINANCIAL STATEMENTS.

BURLINGTON COMMUNITY SCHOOL DISTRICT
RECONCILIATION OF THE STATEMENT OF REVENUES, EXPENDITURES AND
CHANGES IN FUND BALANCES - GOVERNMENTAL FUNDS
TO THE STATEMENT OF ACTIVITIES
YEAR ENDED JUNE 30, 2025

Change in fund balances - total governmental funds (page 22) \$ (12,685,135)

Amounts reported for governmental activities in the Statement of Activities are different because:

Capital outlays to purchase or build capital assets are reported in governmental funds as expenditures. However, those costs are not reported in the Statement of Activities and are allocated over their estimated useful lives as depreciation/amortization expense in the Statement of Activities. Capital outlay expenditures, depreciation/amortization expense and loss on disposal in the current year are as follows:

Capital outlay	\$ 12,203,230	
Depreciation/amortization expense	(2,840,265)	
Loss on disposal	<u>(15,030)</u>	9,347,935

Proceeds from issuing long-term liabilities provide current financial resources to governmental funds, but issuing debt increases long-term liabilities in the Statement of Net Position. Repayment of long-term liabilities is an expenditure in the governmental funds, but the repayment reduces long-term liabilities in the Statement of Net Position. Current year issuances and repayments are as follows:

Issued	(295,915)	
Repaid	<u>1,859,341</u>	1,563,426

Interest on long-term debt in the Statement of Activities differs from the amount reported in the governmental funds because interest is recorded as an expenditure in the governmental funds when due. In the Statement of Activities, interest expense is recognized as the interest accrues, regardless of when it is due.

8,798

Net change in the Internal Service Fund charged back against expenditures made for self-funded insurance on an entity-wide basis.

148,877

The current year District IPERS contributions are reported as expenditures in the governmental funds but are reported as deferred outflows of resources in the Statement of Net Position.

2,777,639

Some expenses reported in the Statement of Activities do not require the use current financial resources and, therefore, are not reported as expenditures in the governmental funds, as follows:

Compensated absences	(299,037)	
Pension expense	(784,341)	
Total OPEB liability and related expenses	<u>2,312,678</u>	1,229,300

Premiums/discounts on bond issuances are recorded in the governmental funds as they occur, but are amortized over the life of the bonds in the government-wide financial statements.

100,893

Change in net position of governmental activities (page 19) **\$ 2,491,733**

SEE NOTES TO FINANCIAL STATEMENTS.

BURLINGTON COMMUNITY SCHOOL DISTRICT
STATEMENT OF NET POSITION
PROPRIETARY FUNDS
JUNE 30, 2025

	Business Type Activities: Enterprise Funds				Governmental Activities: Internal Service
	School Nutrition	Corse Early Childhood Center	Student Construction	Total	
Assets					
Current assets:					
Cash and pooled investments	\$ 943,661	77,975	29,724	1,051,360	2,883,259
Accounts receivable	7,479	1,680	-	9,159	354,578
Due from other governments	52,379	5,344	-	57,723	-
Inventories	32,331	-	-	32,331	-
Total current assets	1,035,850	84,999	29,724	1,150,573	3,237,837
Noncurrent assets:					
Capital assets, net of accumulated depreciation	55,336	-	-	55,336	-
Total assets	1,091,186	84,999	29,724	1,205,909	3,237,837
Deferred Outflows of Resources					
Pension related deferred outflows	82,795	39,420	-	122,215	-
Liabilities					
Current liabilities:					
Accounts payable	14,753	8,450	-	23,203	50,858
Salaries and benefits payable	42,540	14,366	-	56,906	-
Incurred but not reported claims	-	-	-	-	873,413
Unearned revenue	703	-	-	703	-
Total current liabilities	57,996	22,816	-	80,812	924,271
Noncurrent liabilities:					
Compensated absences	13,184	3,644	-	16,828	-
Net pension liability	245,831	135,671	-	381,502	-
Total noncurrent liabilities	259,015	139,315	-	398,330	-
Total liabilities	317,011	162,131	-	479,142	924,271
Deferred Inflows of Resources					
Pension related deferred inflows	22,958	12,670	-	35,628	-
Net Position					
Net investment in capital assets	55,336	-	-	55,336	-
Unrestricted	778,676	(50,382)	29,724	758,018	2,313,566
Total net position	\$ 834,012	(50,382)	29,724	813,354	2,313,566

SEE NOTES TO FINANCIAL STATEMENTS.

BURLINGTON COMMUNITY SCHOOL DISTRICT
STATEMENT OF REVENUES, EXPENSES AND CHANGES IN FUND NET POSITION
PROPRIETARY FUNDS
YEAR ENDED JUNE 30, 2025

	Business Type Activities: Enterprise Funds				Governmental Activities: Internal Service
	School Nutrition	Corse Early Childhood Center	Student Construction	Total	
Operating revenues:					
Local sources:					
Charges for service	\$ 85,305	231,652	-	316,957	-
Miscellaneous	20,572	1,770	-	22,342	7,853,008
Total operating revenues	105,877	233,422	-	339,299	7,853,008
Operating expenses:					
Instruction:					
Regular:					
Salaries	-	199,935	-	199,935	-
Benefits	-	59,786	-	59,786	-
Services	-	84,460	-	84,460	-
Supplies	-	12,117	-	12,117	-
OPEB liability elimination*	-	(4,424)	-	(4,424)	-
Total instruction	-	351,874	-	351,874	-
Support services:					
Instructional staff:					
Salaries	-	66,215	-	66,215	-
Benefits	-	7,147	-	7,147	-
	-	73,362	-	73,362	-
Administration:					
Salaries	5,177	31,742	-	36,919	-
Benefits	396	10,873	-	11,269	-
Services	-	520	-	520	7,704,131
Supplies	-	99	-	99	-
	5,573	43,234	-	48,807	7,704,131
Operation and maintenance of plant:					
Services	1,174	-	-	1,174	-
Total support services	6,747	116,596	-	123,343	7,704,131
Non-instructional programs:					
Food service operations:					
Salaries	645,951	-	-	645,951	-
Benefits	100,626	-	-	100,626	-
Services	1,253	-	-	1,253	-
Supplies	1,117,147	668	-	1,117,815	-
Depreciation	21,603	-	-	21,603	-
OPEB liability elimination*	(11,410)	-	-	(11,410)	-
Other	60	-	-	60	-
Total non-instructional programs	1,875,230	668	-	1,875,898	-
Total operating expenses	1,881,977	469,138	-	2,351,115	7,704,131
Operating income (loss)	(1,776,100)	(235,716)	-	(2,011,816)	148,877
Non-operating revenues:					
State sources	12,378	3,594	-	15,972	-
Federal sources	1,881,947	176,047	-	2,057,994	-
Interest income	31,133	3,173	-	34,306	-
Total non-operating revenues	1,925,458	182,814	-	2,108,272	-
Change in net position	149,358	(52,902)	-	96,456	148,877
Net position beginning of year	684,654	2,520	29,724	716,898	2,164,689
Net position end of year	\$ 834,012	(50,382)	29,724	813,354	2,313,566

* Negative expense reflects the derecognition of the total OPEB liability and related deferrals. See Note 8.

SEE NOTES TO FINANCIAL STATEMENTS.

**BURLINGTON COMMUNITY SCHOOL DISTRICT
STATEMENT OF CASH FLOWS
PROPRIETARY FUNDS
YEAR ENDED JUNE 30, 2025**

	Business Type Activities: Enterprise Funds				Governmental Activities: Internal Service
	School Nutrition	Corse Early Childhood Center	Student Construction	Total	
Cash flows from operating activities:					
Cash received from sale of lunches and breakfasts	\$ 86,717	-	-	86,717	-
Cash received from early childhood center operations	-	229,972	-	229,972	-
Cash received from miscellaneous	20,572	1,770	-	22,342	7,553,295
Cash payments to employees for services	(782,148)	(361,843)	-	(1,143,991)	-
Cash payments to suppliers for goods or services	(1,029,383)	(97,689)	-	(1,127,072)	(7,541,778)
Net cash provided by (used in) operating activities	(1,704,242)	(227,790)	-	(1,932,032)	11,517
Cash flows from non-capital financing activities:					
Net borrowings (repayments) to other funds	(165)	171	-	6	-
State grants received	12,378	670	-	13,048	-
Federal grants received	1,944,029	182,276	-	2,126,305	-
Net cash provided by non-capital financing activities	1,956,242	183,117	-	2,139,359	-
Cash flows from capital and related financing activities:					
Purchase of capital assets	(35,014)	-	-	(35,014)	-
Cash flows from investing activities:					
Interest on investments	31,133	3,173	-	34,306	-
Net increase (decrease) in cash and pooled investments	248,119	(41,500)	-	206,619	11,517
Cash and pooled investments beginning of year	695,542	119,475	29,724	844,741	2,871,742
Cash and pooled investments end of year	\$ 943,661	77,975	29,724	1,051,360	2,883,259
Reconciliation of operating income (loss) to net cash provided by (used in) operating activities:					
Operating income (loss)	\$ (1,776,100)	(235,716)	-	(2,011,816)	148,877
Adjustments to reconcile operating income (loss) to net cash provided by (used in) operating activities:					
Commodities consumed	82,548	-	-	82,548	-
Depreciation	21,603	-	-	21,603	-
Change in assets and liabilities:					
Inventories	(6,070)	-	-	(6,070)	-
Accounts receivable	709	(1,680)	-	(971)	(299,713)
Accounts payable	13,773	175	-	13,948	26,779
Incurred but not reported claims	-	-	-	-	135,574
Salaries and benefits payable	(276)	2,751	-	2,475	-
Net pension liability	(66,969)	(8,813)	-	(75,782)	-
Deferred outflows of resources	34,926	20,013	-	54,939	-
Deferred inflows of resources	(9,494)	(1,928)	-	(11,422)	-
Unearned revenue	703	-	-	703	-
Compensated absences	9,881	1,082	-	10,963	-
Total OPEB liability	(9,476)	(3,674)	-	(13,150)	-
Net cash provided by (used in) operating activities	\$ (1,704,242)	(227,790)	-	(1,932,032)	11,517

Non-cash investing, capital and related financing activities:

During the year ended June 30, 2025, the District received \$82,548 of federal commodities.

SEE NOTES TO FINANCIAL STATEMENTS.

BURLINGTON COMMUNITY SCHOOL DISTRICT
STATEMENT OF FIDUCIARY NET POSITION
FIDUCIARY FUND
JUNE 30, 2025

	Private Purpose Trust Scholarship
Assets	
Cash and pooled investments	\$ 83,542
Liabilities	-
Net Position	
Restricted for scholarships	\$ 83,542

SEE NOTES TO FINANCIAL STATEMENTS.

BURLINGTON COMMUNITY SCHOOL DISTRICT
STATEMENT OF CHANGES IN FIDUCIARY NET POSITION
FIDUCIARY FUND
YEAR ENDED JUNE 30, 2025

	Private Purpose Trust Scholarship
Additions:	
Local sources:	
Gifts and contributions	\$ 500
Interest income	317
Total additions	<u>817</u>
Deductions:	
Scholarships awarded	<u>1,022</u>
Change in net position	(205)
Net position beginning of year	<u>83,747</u>
Net position end of year	<u><u>\$ 83,542</u></u>

SEE NOTES TO FINANCIAL STATEMENTS.

BURLINGTON COMMUNITY SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025

(1) Summary of Significant Accounting Policies

Burlington Community School District is a political subdivision of the State of Iowa and operates public schools for children in grades kindergarten through twelve and special education pre-kindergarten. Additionally, the District either operates or sponsors various adult education programs. These courses include remedial education as well as career and technical and recreational courses. The geographic area served includes the City of Burlington, Iowa, and the predominate agricultural territory in Des Moines County. The District is governed by a Board of Education whose members are elected on a non-partisan basis.

The District's financial statements are prepared in conformity with accounting principles generally accepted in the United States of America (GAAP) as prescribed by the Governmental Accounting Standards Board.

A. Reporting Entity

For financial reporting purposes, Burlington Community School District has included all funds, organizations, agencies, boards, commissions and authorities. The District has also considered all potential component units for which it is financially accountable and other organizations for which the nature and significance of their relationship with the District are such that exclusion would cause the District's financial statements to be misleading or incomplete. The Governmental Accounting Standards Board has set forth criteria to be considered in determining financial accountability. These criteria include appointing a voting majority of an organization's governing body and (1) the ability of the District to impose its will on that organization or (2) the potential for the organization to provide specific benefits to or impose specific financial burdens on the District. The District has no component units which meet the Governmental Accounting Standards Board criteria.

Jointly Governed Organizations - The District participates in a jointly governed organization that provides services to the District but do not meet the criteria of a joint venture since there is no ongoing financial interest or responsibility by the participating governments. The District is a member of the Des Moines County Assessor's Conference Board.

B. Basis of Presentation

Government-wide Financial Statements - The Statement of Net Position and the Statement of Activities report information on all of the nonfiduciary activities of the District. For the most part, the effect of interfund activity has been removed from these statements. Governmental activities, which normally are supported by tax and intergovernmental revenues, are reported separately from business type activities, which rely to a significant extent on fees and charges for service.

The Statement of Net Position presents the District's nonfiduciary assets, deferred outflows or resources, liabilities and deferred inflows or resources, with the difference reported as net position. Net position is reported in the following categories:

Net investment in capital assets consists of capital assets, net of accumulated depreciation/ amortization and reduced by outstanding balances for bonds, notes and other debt attributable to the acquisition, construction or improvement of those assets.

Restricted net position results when constraints placed on net position use are either externally imposed or are imposed by law through constitutional provisions or enabling legislation.

Unrestricted net position consists of net position not meeting the definition of the preceding categories. Unrestricted net position is often subject to constraints imposed by management which can be removed or modified.

The Statement of Activities demonstrates the degree to which the direct expenses of a given function or segment are offset by program revenues. Direct expenses are those clearly identifiable with a specific function. Program revenues include 1) charges to customers or applicants who purchase, use or directly benefit from goods, services or privileges provided by a given function and 2) grants, contributions and interest restricted to meeting the operational or capital requirements of a particular function. Property tax and other items not properly included among program revenues are reported instead as general revenues.

Fund Financial Statements - Separate financial statements are provided for governmental, proprietary, and fiduciary funds, even though the latter are excluded from the government-wide financial statements. Major individual governmental funds are reported as separate columns in the fund financial statements. All remaining governmental funds are aggregated and reported as nonmajor governmental funds. Combining schedules are also included for the Capital Projects Fund accounts.

The District reports the following major governmental funds:

The General Fund is the general operating fund of the District. All general tax revenues and other revenues not allocated by law or contractual agreement to some other fund are accounted for in this fund. From the fund are paid the general operating expenses, including instructional, support and other costs.

The Capital Projects Fund is used to account for all resources used in the acquisition and construction of capital facilities and other capital assets.

The District also reports the following non-major proprietary funds:

The Enterprise, School Nutrition Fund is used to account for the District's food service operations.

The Enterprise, Corse Early Childhood Center Fund is used to account for the daycare operations of the District.

The Enterprise, Student Construction Fund is used to account for revenues and expenses associated with the District's construction trades program.

The Internal Service Fund is used to account for the District's partially self-funding insurance program. The Internal Service Fund is charged back to the governmental funds and shown combined in the Statement of Net Position and the Statement of Activities.

The District also reports the following fiduciary fund which focuses on net position and changes in net position:

The Private Purpose Trust Fund is used to account for assets held by the District under trust agreements which require income earned to be used to benefit individuals through scholarship awards.

C. Measurement Focus and Basis of Accounting

The government-wide, proprietary and fiduciary fund financial statements are reported using the economic resources measurement focus and the accrual basis of accounting. Revenues are recorded when earned and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows. Property tax is recognized as revenue in the year for which it is levied. Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been satisfied.

Governmental fund financial statements are reported using the current financial resources measurement focus and the modified accrual basis of accounting. Revenues are recognized as soon as they are both measurable and available. Revenues are considered to be available when they are collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the government considers revenues to be available if they are collected within 60 days after year end.

Property tax, intergovernmental revenues (shared revenues, grants and reimbursements from other governments) and interest associated with the current fiscal period are all considered to be susceptible to accrual. All other revenue items are considered to be measurable and available only when cash is received by the District.

Expenditures generally are recorded when a liability is incurred, as under accrual accounting. However, principal and interest on long-term debt, claims and judgments and compensated absences are recognized as expenditures only when payment is due. Capital asset acquisitions are reported as expenditures in governmental funds. Proceeds of general long-term debt and acquisitions under capital leases are reported as other financing sources.

Under terms of grant agreements, the District funds certain programs by a combination of specific cost-reimbursement grants and general revenues. Thus, when program expenses are incurred, there are both restricted and unrestricted net position available to finance the program. It is the District's policy to first apply cost-reimbursement grant resources to such programs and then general revenues.

When an expenditure is incurred in governmental funds which can be paid using either restricted or unrestricted resources, the District's policy is generally to first apply the expenditure toward restricted fund balance and then to less restrictive classifications - committed, assigned and then unassigned fund balances.

Proprietary funds distinguish operating revenues and expenses from non-operating items. Operating revenues and expenses generally result from providing services and producing and delivering goods in connection with a proprietary fund's principal ongoing operations. The principal operating revenues of the District's Enterprise Funds are charges to customers for sales and services. Operating expenses for Enterprise Funds include the cost of sales and services, administrative expenses, and depreciation on capital assets. All revenues and expenses not meeting this definition are reported as non-operating revenues and expenses.

D. Assets, Deferred Outflows of Resources, Liabilities, Deferred Inflows of Resources and Fund Equity/ Net Position

The following accounting policies are followed in preparing the financial statements:

Cash, Pooled Investments and Cash Equivalents - The cash balances of most District funds are pooled and invested. Investments are stated at fair value except for the investments in the Iowa Schools Joint Investment Trust and Miles Capital Education which are valued at amortized cost and non-negotiable certificates of deposit which are stated at cost.

For purposes of the Statement of Cash Flows, all short-term cash investments that are highly liquid are considered to be cash equivalents. Cash equivalents are readily convertible to known amounts of cash, and at the day of purchase, they have a maturity date no longer than three months.

Property Tax Receivable - Property taxes in governmental funds are accounted for using the modified accrual basis of accounting.

Property tax receivable is recognized in these funds on the levy or lien date, which is the date the tax asking is certified by the Board of Education. Delinquent property tax receivable represents unpaid taxes for the current and prior years. The succeeding year property tax receivable represents taxes certified by the Board of Education to be collected in the next fiscal year for the purposes set out in the budget for the next fiscal year. By statute, the District is required to certify its budget in April of each year for the subsequent fiscal year. However, by statute, the tax asking and budget certification for the following fiscal year becomes effective on the first day of that year. Although the succeeding year property tax receivable has been recorded, the related revenue is reported as a deferred inflow of resources in both the government-wide and fund financial statements and will not be recognized as revenue until the year for which it is levied.

Property tax revenue recognized in these funds becomes due and collectible in September and March of the fiscal year with a 1½% per month penalty for delinquent payments; is based on January 1, 2023 assessed property valuations; is for the tax accrual period July 1, 2024 through June 30, 2025 and reflects the tax asking contained in the budget certified to the County Board of Supervisors in April 2024.

Due from Other Governments - Due from other governments represents the amounts due from the State of Iowa, various shared revenues, grants and reimbursements from other governments.

Inventories - Inventories are valued at cost using the first-in, first-out method for purchased items and governmental commodities. Inventories of proprietary funds are recorded as expenses when consumed rather than when purchased or received.

Capital Assets - Capital assets are tangible and intangible assets, which include property, furniture and equipment are reported in the applicable governmental or business type activities columns in the government-wide Statement of Net Position. Capital assets are recorded at historical cost (except for intangible right-to-use lease assets, the measurement of which is discussed under "Leases" below) if purchased or constructed. Donated capital assets are recorded acquisition value. Acquisition value is the price that would have been paid to acquire a capital asset with equivalent service potential. The costs of normal maintenance and repairs that do not add to the value of the asset or materially extend asset lives are not capitalized. Intangible assets follow the same capitalization policies as tangible capital assets and are reported with tangible assets in the appropriate capital asset class. Reportable capital assets are defined by the District as assets with an initial, individual cost in excess of the following thresholds and estimated useful lives in excess of two years.

Asset Class	Amount
Land	\$ -
Buildings	2,500
Land improvements	2,500
Intangibles	100,000
Right-to-use leased assets	5,000
Machinery and equipment:	
School Nutrition Fund equipment	500
Other machinery and equipment	2,500

Land and construction in progress are not depreciated. The other tangible and intangible property, plant, equipment and the right-to-use leased assets are depreciated/amortized using the straight-line method over the following estimated useful lives:

Asset Class	Estimated Useful Lives
Buildings	50 years
Land improvements	20 years
Intangibles	2 or more years
Right-to-use leased assets	2 or more years
Machinery and equipment	5-12 years

Leases - Burlington Community School District is the lessee for a noncancellable lease of equipment. The District has recognized a lease liability and an intangible right-to-use lease equipment (lease asset) in the government-wide financial statements. The District recognized leases with an initial, individual value of \$5,000 or more.

At the commencement of the lease, the District initially measures the lease liability at the present value of payments expected to be made during the lease term. Subsequently, the lease liability is reduced by the principal portion of the lease payments made. The lease asset is initially measured as the initial amount of the lease liability, adjusted for lease payments made at or before the lease commencement date, plus certain initial direct costs. Subsequently, the lease asset is amortized on a straight-line basis over its useful life.

Key estimates and judgments related to leases include how Burlington Community School District determines the discount rate it uses to discount the expected lease payments to present value, lease term and lease payments.

Burlington Community School District uses the interest rate charged by the lessor as the discount rate. When the interest rate charged by the lessor is not provided, the District generally uses its estimated incremental borrowing rate as the discount rate for leases.

The lease term includes the noncancellable period of the lease. Lease payments included in the measurement of the lease liability are composed of fixed payments and a purchase option price that the District is reasonably certain to exercise.

The District monitors changes in circumstances that would require a remeasurement of its lease and will remeasure the lease asset and liability if certain changes occur that are expected to significantly affect the amount of the lease liability.

Lease assets are reported with other capital assets and lease liabilities are reported with long-term debt on the statement of net position.

Leases - Burlington Community School District is a lessor for a noncancellable lease of District land. The District recognizes a lease receivable and deferred inflow of resources in the government-wide and governmental fund financial statements.

At the commencement of a lease, the District initially measures the lease receivable at the present value of payments expected to be received during the lease term. Subsequently, the lease receivable is reduced by the principal portion of lease payments received. The deferred inflow of resources is initially measured as the initial amount of the lease receivable, adjusted for lease payments received at or before the lease commencement date. Subsequently, the deferred inflow of resources is recognized as revenue over the life of the lease term.

Key estimates and judgements include how the Burlington Community School District determines the discount rate it uses to discount the expected lease receipts to present value, lease term and lease receipts.

Burlington Community School District uses its estimated incremental borrowing rate as the discount rate for leases.

The lease term includes the noncancellable period of the lease. Lease receipts included in the measurement of the lease receivable is composed of fixed payments from the lessee.

The District monitors changes in circumstances that would require a remeasurement of its lease and will remeasure the lease receivable and deferred inflows of resources if certain changes occur that are expected to significantly affect the amount of the lease receivable.

Deferred Outflows of Resources - Deferred outflows of resources represent a consumption of net position applicable to a future year(s) which will not be recognized as an outflow of resources (expense/expenditure) until then. Deferred outflows of resources consist of unrecognized items not yet charged to pension expense, the unamortized portion of the net difference between projected and actual earnings on pension plan investments and contributions from the District after the measurement date but before the end of the District's reporting period.

Salaries and Benefits Payable - Payroll and related expenditures for teachers with annual contracts corresponding to the current school year, which are payable in July and August, have been accrued as liabilities.

Unamortized Bond Premiums/Discounts - Premiums and discounts associated with new bond issuances are amortized over the life of the bonds in the government-wide financial statements. Premiums and discounts are shown combined on the Statement of Net Position and are amortized using the straight-line method.

Unearned Revenue - Unearned revenue are monies collected for lunches that have not yet been served. Patrons will either be reimbursed or served lunches.

Long-term Liabilities - In the government-wide financial statements, long-term debt and other long-term obligations are reported as liabilities in the governmental activities column in the Statement of Net Position.

Compensated Absences - District employees accumulate a limited amount of earned but unused vacation and paid time off hours for subsequent use or for payment upon termination, death or retirement. A liability is recorded when each of the following have occurred: the leave is attributable to services already rendered, the leave accumulates and carries forward from one reporting period to the next and the leave is more likely than not to be used for time off or otherwise paid in cash or settled through noncash means. A liability for these amounts is reported in the governmental funds only for employees who have resigned or retired. The compensated absences liability has been computed based on rates in effect at June 30, 2025.

Pensions - For purposes of measuring the net pension liability, deferred outflows of resources and deferred inflows of resources related to pensions and pension expense, information about the fiduciary net position of the Iowa Public Employees' Retirement System (IPERS) and additions to/deductions from IPERS' fiduciary net position have been determined on the same basis as they are reported by IPERS. For this purpose, benefit payments, including refunds of employee contributions, are recognized when due and payable in accordance with the benefit terms. Investments are reported at fair value. The net pension liability attributable to the governmental activities will be paid primarily by the General Fund.

Deferred Inflows of Resources - Deferred inflows of resources represent an acquisition of net position applicable to a future year(s) which will not be recognized as an inflow of resources (revenue) until that time. Although certain revenues are measurable, they are not available. Available means collected within the current year or expected to be collected soon enough thereafter to be used to pay liabilities of the current year. Deferred inflows of resources in the governmental fund financial statements represent the amount of assets that have been recognized, but the related revenue has not been recognized since the assets are not collected within the current year or expected to be collected soon enough thereafter to be used to pay liabilities of the current year. Deferred inflows of resources in the fund financial statements consist of property tax receivable and other receivables not collected within sixty days after year end and succeeding year property tax receivable that will not be recognized until the year for which it is levied.

Deferred inflows of resources in the Statement of Net Position consist of succeeding year property tax receivable that will not be recognized as revenue until the year for which it is levied and unrecognized items not yet charged to pension expense.

Fund Equity - Board Policy #701.5 describes the District's fund balance designations. In the governmental fund financial statements, fund balances are classified as follows:

Restricted - Amounts restricted to specific purposes when constraints placed on the use of the resources are either externally imposed by creditors, grantors or state or federal laws or are imposed by law through constitutional provisions or enabling legislation.

Assigned - Amounts the District management intends to use for specific purposes. In accordance with Board policy #701.5, the Board delegates to the Superintendent the authority to assign fund balances within the General Fund for specific purposes.

Unassigned - All amounts not included in the preceding classifications.

E. Budgets and Budgetary Accounting

The budgetary comparison and related disclosures are reported as Required Supplementary Information.

(2) Cash and Pooled Investments

The District's deposits in banks at June 30, 2025 were entirely covered by federal depository insurance or by the State Sinking Fund in accordance with Chapter 12C of the Code of Iowa. This chapter provides for additional assessments against the depositories to ensure there will be no loss of public funds.

The District is authorized by statute to invest public funds in obligations of the United States government, its agencies and instrumentalities; certificates of deposit or other evidences of deposit at federally insured depository institutions approved by the Board of Education; prime eligible bankers acceptances; certain high rated commercial paper; perfected repurchase agreements; certain registered open-end management investment companies; certain joint investment trusts; and warrants or improvement certificates of a drainage district.

At June 30, 2025, the District had investments in the Iowa Schools Joint Investment Trust (ISJIT) Direct Governmental Obligation Portfolio valued at an amortized cost of \$24,534,046, pursuant to Rule 21-7 under the Investment Company Act of 1940. There were no limitations or restrictions on the withdrawals of the ISJIT. The investments in the Iowa Schools Investment Trust were rated AAAM by Standard & Poor's Financial Services.

(3) Due From and Due to Other Funds

The detail of interfund receivables and payables at June 30, 2025 is as follows:

Receivable Fund	Payable Fund	Amount
Capital Projects: Physical Plant and Equipment Levy	General	\$ 86,483
Debt Service	Capital Projects: Statewide Sales, Services and Use Tax	1,200
Total		<u>\$ 87,683</u>

The General Fund owes the Capital Projects: Physical Plant and Equipment Levy Fund for reallocated federal grant revenues.

The Capital Projects: Statewide Sales, Services and Use Tax Fund is repaying the Debt Service Fund to reimburse expenditures for bond agent fees.

(4) Interfund Transfers

The detail of interfund transfers for the year ended June 30, 2025 is as follows:

Transfer to	Transfer from	Amount
Capital Projects: Statewide Sales, Services and Use Tax	General	\$ 55,401
Debt Service	Capital Projects: Statewide Sales, Services and Use Tax	3,125,909
Debt Service	Capital Projects: Physical Plant and Equipment Levy	152,425
Total		<u>\$ 3,333,735</u>

The transfer from the General Fund to the Capital Projects: Statewide Sales Services and Use Tax Fund was to move ESSER III federal grant revenues.

The transfers from the Capital Projects: Statewide Sales, Services and Use Tax Fund to the Debt Service Fund was for principal and interest payments on the District's revenue bonded indebtedness.

The transfers from the Capital Projects: Physical Plant and Equipment Levy Fund to the Debt Service Fund was principal and interest payments on the District's indebtedness from lease agreements.

(5) Construction Commitments

The District entered into contracts totaling \$55,396,134 for various infrastructure improvement projects including building addition/renovation and air quality projects at the high school site. As of June 30, 2025, costs of \$41,004,370 had been incurred against the contracts. The balance will be paid as work on the projects progresses.

(6) Capital Assets

Capital assets activity for the year ended June 30, 2025 was as follows:

	Balance Beginning of Year	Increases	Decreases	Balance End of Year
Governmental activities:				
Capital assets not being depreciated/amortized:				
Land	\$ 2,998,834	36,000	9,910	3,024,924
Construction in progress	31,961,052	10,576,927	1,533,609	41,004,370
Total capital assets not being depreciated/amortized	34,959,886	10,612,927	1,543,519	44,029,294
Capital assets being depreciated/amortized:				
Buildings	95,179,715	1,806,335	-	96,986,050
Land improvements	2,853,811	232,828	-	3,086,639
Machinery and equipment	22,687,834	788,835	81,821	23,394,848
Right-to-use leased assets	484,172	295,914	-	780,086
Total capital assets being depreciated/amortized	121,205,532	3,123,912	81,821	124,247,623
Less accumulated depreciation/amortization for:				
Buildings	36,504,709	1,907,687	-	38,412,396
Land improvements	1,345,993	128,707	-	1,474,700
Machinery and equipment	19,275,333	675,521	76,701	19,874,153
Right-to-use leased assets	138,335	128,350	-	266,685
Total accumulated depreciation/amortization	57,264,370	2,840,265	76,701	60,027,934
Total capital assets being depreciated/amortized, net	63,941,162	283,647	5,120	64,219,689
Governmental activities capital assets/amortized, net	\$ 98,901,048	10,896,574	1,548,639	108,248,983
Business type activities:				
Machinery and equipment	\$ 718,479	35,014	-	753,493
Less accumulated depreciation	676,554	21,603	-	698,157
Business type activities capital assets, net	\$ 41,925	13,411	-	55,336

Depreciation/amortization expense was charged to the following functions:

Governmental activities:	
Instruction:	
Regular	\$ 298,115
Support services:	
Administration	148,208
Operation and maintenance of plant	119,996
Transportation	237,552
	803,871
Unallocated depreciation/amortization	2,036,394
Total governmental activities depreciation/amortization expense	\$ 2,840,265
Business type activities:	
Food service operations	\$ 21,603

(7) Long-Term Liabilities

Changes in long-term liabilities for the year ended June 30, 2025 are summarized as follows:

	Balance Beginning of Year	Additions	Reductions	Balance End of Year	Due Within One Year
Governmental activities:					
Revenue bonds	\$ 42,080,000	-	1,745,000	40,335,000	1,815,000
Lease agreements	349,723	295,915	114,341	531,297	121,204
Compensated absences	216,167	299,037 *	-	515,204	515,204
Net pension liability	14,437,974	-	3,223,692	11,214,282	-
Total OPEB liability	1,920,677	-	1,920,677	-	-
Total	<u>\$ 59,004,541</u>	<u>594,952</u>	<u>7,003,710</u>	<u>52,595,783</u>	<u>2,451,408</u>
Business type activities:					
Compensated absences	\$ 5,865	10,963 *	-	16,828	16,828
Net pension liability	457,284	-	75,782	381,502	-
Total OPEB liability	13,150	-	13,150	-	-
Total	<u>\$ 476,299</u>	<u>10,963</u>	<u>88,932</u>	<u>398,330</u>	<u>16,828</u>

* The change in compensated absences liability is presented as a net change.

Revenue Bonds

Details of the District's June 30, 2025 statewide sales, services and use tax revenue bonded indebtedness are as follows:

Year	Bonds issued July 13, 2021			Bonds issued July 6, 2022			Bonds issued May 17, 2023			Total		
Ending	Interest			Interest			Interest					
June 30,	Rate	Principal	Interest	Rate	Principal	Interest	Rate	Principal	Interest	Principal	Interest	Total
2026	2.00%	\$ 355,000	130,250	4.00%	\$ 420,000	368,000	5.00%	\$ 1,040,000	1,165,600	1,815,000	1,663,850	3,478,850
2027	2.00	360,000	123,100	4.00	440,000	351,200	5.00	1,090,000	1,113,600	1,890,000	1,587,900	3,477,900
2028	2.00	370,000	115,850	4.00	455,000	333,600	5.00	1,145,000	1,059,100	1,970,000	1,508,550	3,478,550
2029	2.00	375,000	108,450	4.00	475,000	315,400	5.00	1,205,000	1,001,850	2,055,000	1,425,700	3,480,700
2030	2.00	380,000	100,900	4.00	495,000	296,400	5.00	1,265,000	941,600	2,140,000	1,338,900	3,478,900
2031-2035	2.00	2,035,000	386,200	4.00	2,775,000	1,169,600	5.00	7,335,000	3,694,000	12,145,000	5,249,800	17,394,800
2036-2040	2.00	2,250,000	173,250	4.00	3,380,000	568,000	4.00-5.00	9,335,000	1,687,100	14,965,000	2,428,350	17,393,350
2041	2.00	475,000	7,150	4.00	760,000	30,400	4.00	2,120,000	84,800	3,355,000	122,350	3,477,350
Total		<u>\$ 6,600,000</u>	<u>1,145,150</u>		<u>\$ 9,200,000</u>	<u>3,432,600</u>		<u>\$ 24,535,000</u>	<u>10,747,650</u>	<u>40,335,000</u>	<u>15,325,400</u>	<u>55,660,400</u>

The District has pledged future statewide sales, services and use tax revenues to repay \$10,000,000 of bonds issued in July 2021 for the purpose of refunding Series 2009 and 2012 bonds, as well as \$9,995,000 of bonds issued in July 2022 and the \$26,370,000 of bonds issued in May 2023, both for the purpose of financing various capital improvement projects. The bonds are payable solely from the proceeds of the statewide sales, services and use tax revenues received by the District and are payable through 2041. The bonds are not a general obligation of the District. However, the debt is subject to the constitutional debt limitation of the District. Annual principal and interest payments on the bonds are expected to require approximately 69% of the statewide sales, services and use tax revenues. The total principal and interest remaining to be paid on the bonds is \$55,660,400. For the current year \$1,745,000 in principal and \$1,736,550 in interest was paid on the bonds and total statewide sales, services and use tax revenues were \$5,021,731.

The resolutions providing for the issuance of the statewide sales, services and use tax revenue bonds require \$3,736,185 be deposited and maintained in a reserve account to be used solely for the purpose of paying principal and interest on the bonds if insufficient statewide sales, services and use tax revenues are available. In addition, each month the District must set aside a portion of the statewide sales, services and use tax proceeds equal to 1/6 of the upcoming bi-annual interest payments and 1/12 of the upcoming annual principal payments.

Lease Agreements

Details of the District's June 30, 2025 indebtedness from lease agreements are as follows:

Year Ending June 30,	Telephone Equipment - October 2022			Copiers - May 2024			Total		
	Interest Rate	Principal	Interest	Interest Rate	Principal	Interest	Principal	Interest	Total
2026	7.90%	\$ 64,452	22,902	3.93%	\$ 56,752	8,319	121,204	31,221	152,425
2027	7.90	69,542	17,812	3.93	58,982	6,089	128,524	23,901	152,425
2028	7.90	75,034	12,320	3.93	61,301	3,770	136,335	16,090	152,425
2029	7.90	80,960	6,394	3.93	64,274	797	145,234	7,191	152,425
Total		<u>\$ 289,988</u>	<u>59,428</u>		<u>\$ 241,309</u>	<u>18,975</u>	<u>531,297</u>	<u>78,403</u>	<u>609,700</u>

In October 2022, the District commenced a six-year lease agreement for telephone equipment. An initial lease liability was recorded in the amount of \$484,171. The agreement requires annual payments of \$87,354 and bears interest at 7.90% per annum. During the year ended June 30, 2025, principal and interest paid were \$59,735 and \$27,619, respectively.

In May 2024, the District commenced a five-year lease agreement for copiers. An initial lease liability was recorded in the amount of \$295,915. The agreement requires monthly payments of \$5,423 and bears interest at 3.93% per annum. During the year ended June 30, 2025, principal and interest paid were \$54,606 and \$10,465, respectively.

(8) Other Postemployment Benefits (OPEB)

Plan Description - Prior to June 30, 2025, Burlington Community School District (the "District") provided postemployment healthcare benefits to eligible retirees through participation in the District's group health insurance plan. Retirees were allowed to remain on the District's plan by paying the full premium cost, which was implicitly subsidized by active employee premiums. This arrangement resulted in an OPEB liability reported under the provisions of Governmental Accounting Standards Board (GASB) Statement No. 75, *Accounting and Financial Reporting for Postemployment Benefits Other Than Pensions*.

Plan Change/Implementation of ICHRA - Effective July 1, 2025, the District implemented an Individual Coverage Health Reimbursement Arrangement (ICHRA) for eligible retirees. Under this arrangement, plan premiums are based on age causing retirees to pay premiums that reflect their true anticipated claims. The District no longer bears any direct or implied obligation for future healthcare costs.

Impact on OPEB Liability - As a result of implementing the ICHRA plan, the District's obligation to provide postemployment healthcare benefits was fully eliminated. Consequently, the District's total OPEB liability of \$1,933,827, previously reported as of June 30, 2024, along with all OPEB related deferred outflows and inflows of resources, were derecognized during the fiscal year ended June 30, 2025.

The elimination of the liability resulted in a one-time reduction of OPEB expense in the amount of \$2,328,512, recognized in the government-wide Statement of Activities. Of that total, \$2,312,678 was accounted for in governmental activities, while the remaining \$15,834 was accounted for in business type activities.

Future Reporting - Because the District no longer has an obligation for postemployment healthcare benefits under GASB 75, no OPEB liability or related disclosures will be reported in future periods.

(9) Pension Plan

Plan Description - IPERS membership is mandatory for employees of the District, except for those covered by another retirement system. Employees of the District are provided with pensions through a cost-sharing multiple employer defined benefit pension plan administered by the Iowa Public Employees' Retirement System (IPERS). IPERS issues a stand-alone financial report which is available to the public by mail at P.O. Box 9117, Des Moines, Iowa 50306-9117 or at www.ipers.org.

IPERS benefits are established under Iowa Code chapter 97B and the administrative rules thereunder. Chapter 97B and the administrative rules are the official plan documents. The following brief description is provided for general information purposes only. Refer to the plan documents for more information.

Pension Benefits - A Regular member may retire at normal retirement age and receive monthly benefits without an early-retirement reduction. Normal retirement age is age 65, any time after reaching age 62 with 20 or more years of covered employment or when the member's years of service plus the member's age at the last birthday equals or exceeds 88, whichever comes first. These qualifications must be met on the member's first month of entitlement to benefits. Members cannot begin receiving retirement benefits before age 55. The formula used to calculate a Regular member's monthly IPERS benefit includes:

- A multiplier based on years of service.
- The member's highest five-year average salary, except members with service before June 30, 2012 will use the highest three-year average salary as of that date if it is greater than the highest five-year average salary.

If a Regular member retires before normal retirement age, the member's monthly retirement benefit will be permanently reduced by an early-retirement reduction. The early-retirement reduction is calculated differently for service earned before and after July 1, 2012. For service earned before July 1, 2012, the reduction is 0.25% for each month the member receives benefits before the member's earliest normal retirement age. For service earned on or after July 1, 2012, the reduction is 0.50% for each month the member receives benefits before age 65.

Generally, once a member selects a benefit option, a monthly benefit is calculated and remains the same for the rest of the member's lifetime. However, to combat the effects of inflation, retirees who began receiving benefits prior to July 1990 receive a guaranteed dividend with their regular November benefit payments.

Disability and Death Benefits - A vested member who is awarded federal Social Security disability or Railroad Retirement disability benefits is eligible to claim IPERS benefits regardless of age. Disability benefits are not reduced for early retirement. If a member dies before retirement, the member's beneficiary will receive a lifetime annuity or a lump-sum payment equal to the present actuarial value of the member's accrued benefit or calculated with a set formula, whichever is greater. When a member dies after retirement, death benefits depend on the benefit option the member selected at retirement.

Contributions - Contribution rates are established by IPERS following the annual actuarial valuation, which applies IPERS' Contribution Rate Funding Policy and Actuarial Amortization Method. State statute limits the amount rates can increase or decrease each year to 1 percentage point. IPERS Contribution Rate Funding Policy requires that the actuarial contribution rate be determined using the "entry age normal" actuarial cost method and the actuarial assumptions and methods approved by the IPERS Investment Board. The actuarial contribution rate covers normal cost plus the unfunded actuarial liability payment based on a 30-year amortization period. The payment to amortize the unfunded actuarial liability is determined as a level percentage of payroll based on the Actuarial Amortization Method adopted by the Investment Board.

In fiscal year 2025, pursuant to the required rate, Regular members contributed 6.29% of covered payroll and the District contributed 9.44% of covered payroll, for a total rate of 15.73%.

The District's contributions to IPERS for the year ended June 30, 2025 were \$2,864,726.

Net Pension Liability, Pension Expense, Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions - At June 30, 2025, the District reported a liability of \$11,595,784 for its proportionate share of the net pension liability. The net pension liability was measured as of June 30, 2024 and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of that date. The District's proportion of the net pension liability was based on the District's share of contributions to IPERS relative to the contributions of all IPERS participating employers. At June 30, 2024, the District's proportion was 0.318435%, which was a decrease of 0.011569% from its proportion measured as of June 30, 2023.

For the year ended June 30, 2025, the District recognized pension expense of \$841,847. At June 30, 2025, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ 922,686	7,203
Changes of assumptions	-	162
Net difference between projected and actual earnings on IPERS' investments	145,025	-
Changes in proportion and differences between District contributions and the District's proportionate share of contributions	-	1,075,561
District contributions subsequent to the measurement date	2,864,726	-
Total	<u>\$ 3,932,437</u>	<u>1,082,926</u>

\$2,864,726 reported as deferred outflows of resources related to pensions resulting from the District contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ending June 30, 2026. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year Ended June 30,	Amount
2026	\$ (1,922,364)
2027	2,544,388
2028	(111,342)
2029	(505,120)
2030	(20,777)
Total	<u>\$ (15,215)</u>

There were no non-employer contributing entities at IPERS.

Actuarial Assumptions - The total pension liability in the June 30, 2024 actuarial valuation was determined using the following actuarial assumptions, applied to all periods included in the measurement:

Rate of inflation (effective June 30, 2017)	2.60% per annum.
Rates of salary increase (effective June 30, 2017)	3.25 to 16.25% average, including inflation. Rates vary by membership group.
Long-term investment rate of return (effective June 30, 2017)	7.00% compounded annually, net of investment expense, including inflation.
Wage growth (effective June 30, 2017)	3.25% per annum, based on 2.60% inflation and 0.65% real wage inflation.

The actuarial assumptions used in the June 30, 2024 valuation were based on the results of a quadrennial experience study covering the period of July 1, 2017 through June 30, 2021.

Mortality rates used in the 2024 valuation were based on the PubG-2010 mortality tables with future mortality improvements modeled using Scale MP-2021.

The long-term expected rate of return on IPERS' investments was determined using a building-block method in which best-estimate ranges of expected future real rates (expected returns, net of investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. The target allocation and best estimates of geometric real rates of return for each major asset class are summarized in the following table:

Asset Class	Asset Allocation	Long-Term Expected Real Rate of Return
Domestic equity	21.0%	3.52%
International equity	13.0	5.18
Global smart beta equity	5.0	4.12
Core plus fixed income	25.5	3.04
Public credit	3.0	4.53
Cash	1.0	1.69
Private equity	17.0	8.89
Private real assets	9.0	4.25
Private credit	5.5	6.62
Total	100.0%	

Discount Rate - The discount rate used to measure the total pension liability was 7.00%. The projection of cash flows used to determine the discount rate assumed employee contributions will be made at the contractually required rate and contributions from the District will be made at contractually required rates, actuarially determined. Based on those assumptions, IPERS' fiduciary net position was projected to be available to make all projected future benefit payments to current active and inactive employees. Therefore, the long-term expected rate of return on IPERS' investments was applied to all periods of projected benefit payments to determine the total pension liability.

Sensitivity of the District's Proportionate Share of the Net Pension Liability to Changes in the Discount Rate - The following presents the District's proportionate share of the net pension liability calculated using the discount rate of 7.00%, as well as what the District's proportionate share of the net pension liability would be if it were calculated using a discount rate 1% lower (6.00%) or 1% higher (8.00%) than the current rate.

	1% Decrease (6.00%)	Discount Rate (7.00%)	1% Increase (8.00%)
District's proportionate share of the net pension liability	\$ 28,455,846	11,595,784	(2,524,607)

IPERS' Fiduciary Net Position - Detailed information about IPERS' fiduciary net position is available in the separately issued IPERS financial report which is available on IPERS' website at www.ipers.org.

(10) Risk Management

The District has a partially self-funded health insurance plan. The District purchases commercial insurance to provide for aggregate stop-loss coverage for the excess of 120% of estimated claims for the plan year and specific stop-loss reinsurance coverage for the excess of \$85,000 in insured claims for any one covered individual. Settled claims have not exceeded the coverage in any of the past three years.

Payments are made to the plan based on actuarial estimates of amounts needed to pay prior and current year claims and to establish a reserve for catastrophic losses. The June 30, 2025 balance was \$2,313,566. The liability for incurred but not recorded claims of \$873,413 reported in the plan at June 30, 2025 is based on the requirements of GASB Statement Number 10.

In addition, Burlington Community School District is exposed to various risks of loss related to torts; theft; damage to and destruction of assets; errors and omissions; injuries to employees; and natural disasters. These risks are covered by the purchase of commercial insurance. The District assumes liability for any deductibles and claims in excess of coverage limitations. Settled claims from these risks have not exceeded commercial insurance coverage in any of the past three fiscal years. There have been no significant reductions in insurance coverage from the prior year.

(11) Area Education Agency

The District is required by the Code of Iowa to budget for its share of special education support, media and educational services provided through the Area Education Agency. The District's actual amount for this purpose totaled \$1,649,345 for the year ended June 30, 2025 and is recorded in the General Fund by making a memorandum adjusting entry to the cash basis financial statements.

(12) Tax Abatements

Governmental Accounting Standards Board Statement No. 77 defines tax abatements as a reduction in tax revenues that results from an agreement between one or more governments and an individual or entity in which (a) one or more governments promise to forgo tax revenues to which they are otherwise entitled and (b) the individual or entity promises to take a specific action after the agreement has been entered into that contributes to economic development or otherwise benefits the governments or the citizens of those governments.

Tax Abatements of Other Entities

Other entities within the District provide tax abatements for urban renewal projects pursuant to Chapters 15 and 403 of the Code of Iowa. Additionally, the entities offered urban revitalization tax abatement programs pursuant to Chapter 404 of the Code of Iowa. With prior approval by the governing body, this program provides for an exemption based on a percentage of the actual value added by improvements.

Property tax revenues of the District were reduced the following amounts for the year ended June 30, 2025 under agreements entered into by the following entities:

Entity	Tax Abatement Program	Amount of Tax Abated
City of Burlington	Urban renewal and economic development projects	\$ 350,165
	Chapter 404 tax abatement programs	281,012
City of West Burlington	Chapter 404 tax abatement programs	924
Des Moines County	Chapter 404 tax abatement programs	104,745

The State of Iowa reimburses the District an amount equivalent to the increment of valuation on which property tax is divided times \$5.40 per \$1,000 of taxable valuation. For the year ended June 30, 2025, this reimbursement amounted to \$192,712.

(13) Categorical Funding

In accordance with Iowa Administrative Code Section 98.1, categorical funding is financial support from the state and federal governments targeted for particular categories of students, special programs, or special purposes. This support is in addition to school district or area education agency general purpose revenue, for purposes beyond the basic educational program and most often has restrictions on its use. Any portion of categorical funding provided by the state that is not expended by the end of the fiscal year must be carried forward as a restricted fund return balance.

The following is a schedule of the categorical funding restricted in the General Fund at June 30, 2025.

Program	Amount
Home School Assistance Program (HSAP)	\$ 121,691
Teacher Leadership State Aid	127,466
Four-Year-Old Preschool State Aid	183,804
Textbook Aid for Nonpublic Students	411
Professional Development	248,391
Total	<u>\$ 681,763</u>

(14) Change in Area Education Agency Funding

The Governor signed House File 2612 on March 27, 2024, which changes the percentage of educational and media services funding generated through local property taxes by Districts which flow through to each Area Education Agency (AEA) beginning July 1, 2024. For fiscal year 2026, 100% of the educational and media services funds generated by Districts will be received directly by the District and none will flow through to the AEAs. Also for fiscal year 2026, Districts will flow through 90% (instead of 100%) of special education support services funds to AEAs, who will code the funds as a combination of state aid and property taxes.

(15) Reconciliation of Governmental Fund Balances to Net Position

Detailed reconciliation of certain governmental fund balances to net position is as follows:

	Net investment in Capital Assets	Debt Service	School Infrastructure	Unassigned/ Unrestricted
Fund balance (Exhibit C)	\$ -	4,230,710	17,731,650	3,921,837
Capital assets, net of accumulated depreciation/amortization	108,248,983	-	-	-
Revenue bond capitalized indebtedness	(39,880,706)	-	-	-
Indebtedness from lease agreements	(531,297)	-	-	-
Unspent bond proceeds	-	-	(454,294)	-
Accrued interest payable	-	(152,102)	-	-
Internal Service Fund balance	-	-	-	2,313,566
Unamortized bond premiums/discounts, net	-	-	-	(1,614,293)
Compensated absences	-	-	-	(515,204)
Pension related deferred outflows	-	-	-	3,810,222
Pension related deferred inflows	-	-	-	(1,047,298)
Net pension liability	-	-	-	(11,214,282)
Assigned fund balance	-	-	-	231,114
Net position (Exhibit A)	<u>\$ 67,836,980</u>	<u>4,078,608</u>	<u>17,277,356</u>	<u>(4,114,338)</u>

(16) Adoption of New Accounting Standard

The District adopted GASB Statement No. 101, *Compensated Absences*. The provisions of this standard modernize the types of leave that are considered a compensated absence and provides guidance for a consistent recognition and measurement of the compensated absence liability. There was not a significant effect on the District's financial statements as a result of the implementation of this standard.

Burlington Community School District

Required Supplementary Information

BURLINGTON COMMUNITY SCHOOL DISTRICT
BUDGETARY COMPARISON SCHEDULE OF REVENUES, EXPENDITURES/EXPENSES AND
CHANGES IN BALANCES - BUDGET AND ACTUAL - ALL GOVERNMENTAL FUNDS
AND PROPRIETARY FUNDS
REQUIRED SUPPLEMENTARY INFORMATION
YEAR ENDED JUNE 30, 2025

	Governmental Funds Actual	Proprietary Funds Actual	Total Actual	Budgeted Amounts		Final to Actual Variance
				Original	Final	
Revenues:						
Local sources	\$ 17,202,502	373,605	17,576,107	19,155,005	19,155,005	(1,578,898)
State sources	38,705,932	15,972	38,721,904	39,813,742	39,813,742	(1,091,838)
Federal sources	5,112,662	2,057,994	7,170,656	7,170,000	7,170,000	656
Total revenues	61,021,096	2,447,571	63,468,667	66,138,747	66,138,747	(2,670,080)
Expenditures/Expenses:						
Instruction	37,297,183	351,874	37,649,057	41,250,000	41,250,000	3,600,943
Support services	19,981,205	123,343	20,104,548	21,580,000	21,580,000	1,475,452
Non-instructional programs	26,366	1,875,898	1,902,264	1,975,000	1,975,000	72,736
Other expenditures	16,823,089	-	16,823,089	20,771,343	20,771,343	3,948,254
Total expenditures/expenses	74,127,843	2,351,115	76,478,958	85,576,343	85,576,343	9,097,385
Excess (Deficiency) of revenues over (under) expenditures/expenses	(13,106,747)	96,456	(13,010,291)	(19,437,596)	(19,437,596)	6,427,305
Other financing sources, net	421,612	-	421,612	102,000	102,000	319,612
Excess (Deficiency) of revenues and other financing sources over (under) expenditures/expenses	(12,685,135)	96,456	(12,588,679)	(19,335,596)	(19,335,596)	6,746,917
Balances beginning of year	45,921,361	716,898	46,638,259	42,213,448	42,213,448	4,424,811
Balances end of year	\$ 33,236,226	813,354	34,049,580	22,877,852	22,877,852	11,171,728

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

BURLINGTON COMMUNITY SCHOOL DISTRICT
NOTES TO REQUIRED SUPPLEMENTARY INFORMATION - BUDGETARY REPORTING
YEAR ENDED JUNE 30, 2025

This budgetary comparison is presented as Required Supplementary Information in accordance with Governmental Accounting Standards Board Statement No. 41 for governments with significant budgetary perspective differences resulting from not being able to present budgetary comparisons for the General Fund and each major Special Revenue Fund.

In accordance with the Code of Iowa, the Board of Education annually adopts a budget following required public notice and hearing for all funds except Private Purpose Trust and Custodial Funds. The budget may be amended during the year utilizing similar statutorily prescribed procedures. The District's budget is prepared on a GAAP basis.

Formal and legal budgetary control for the certified budget is based upon four major classes of expenditures known as functions, not by fund. These four functions are instruction, support services, non-instructional programs and other expenditures. Although the budget document presents function expenditures or expenses by fund, the legal level of control is at the aggregated function level, not by fund. The Code of Iowa also provides District expenditures in the General Fund may not exceed the amount authorized by the school finance formula.

BURLINGTON COMMUNITY SCHOOL DISTRICT
SCHEDULE OF THE DISTRICT'S PROPORTIONATE SHARE OF THE NET PENSION LIABILITY
IOWA PUBLIC EMPLOYEES' RETIREMENT SYSTEM
FOR THE LAST TEN YEARS*
(IN THOUSANDS)
REQUIRED SUPPLEMENTARY INFORMATION

	2025	2024	2023	2022	2021	2020	2019	2018	2017	2016
District's proportion of the net pension liability	0.318435%	0.330004%	0.360809%	0.140312%	0.351447%	0.366880%	0.337102%	0.382667%	0.398159%	0.399011%
District's proportionate share of the net pension liability \$	11,596	14,895	13,632	484	24,688	21,245	23,479	25,490	25,057	19,713
District's covered payroll \$	29,454	29,071	29,186	28,104	27,934	27,924	27,912	28,586	28,595	27,385
District's proportionate share of the net pension liability as a percentage of its covered payroll	39.37%	51.24%	46.71%	1.72%	88.38%	76.08%	84.12%	89.17%	87.63%	71.98%
IPERS' net position as a percentage of the total pension liability	92.30%	90.13%	91.40%	100.81%	82.90%	85.45%	83.62%	82.21%	81.82%	85.19%

* In accordance with Governmental Accounting Standards Board Statement No. 68, the amounts presented for each fiscal year were determined as of June 30 of the preceding year.

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

BURLINGTON COMMUNITY SCHOOL DISTRICT
SCHEDULE OF DISTRICT CONTRIBUTIONS
IOWA PUBLIC EMPLOYEES' RETIREMENT SYSTEM
FOR THE LAST TEN YEARS
(IN THOUSANDS)
REQUIRED SUPPLEMENTARY INFORMATION

	2025	2024	2023	2022	2021	2020	2019	2018	2017	2016
Statutorily required contribution	\$ 2,865	2,780	2,744	2,755	2,653	2,637	2,636	2,493	2,553	2,554
Contributions in relation to the statutorily required contribution	(2,865)	(2,780)	(2,744)	(2,755)	(2,653)	(2,637)	(2,636)	(2,493)	(2,553)	(2,554)
Contribution deficiency (excess)	\$ -	-	-	-	-	-	-	-	-	-
District's covered payroll	\$ 30,347	29,454	29,071	29,186	28,104	27,934	27,924	27,912	28,586	28,595
Contributions as a percentage of covered payroll	9.44%	9.44%	9.44%	9.44%	9.44%	9.44%	9.44%	8.93%	8.93%	8.93%

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

BURLINGTON COMMUNITY SCHOOL DISTRICT
NOTES TO REQUIRED SUPPLEMENTARY INFORMATION - PENSION LIABILITY
YEAR ENDED JUNE 30, 2025

Changes in benefit terms:

There are no significant changes in benefit terms.

Changes in assumptions:

The 2022 valuation incorporated the following refinements after a quadrennial experience study:

- Changed mortality assumptions to the PubG-2010 mortality tables with mortality improvements modeled using Scale MP-2021.
- Adjusted retirement rates for Regular members.
- Lowered disability rates for Regular members.
- Adjusted termination rates for all membership groups.

The 2018 valuation implemented the following refinements as a result of a demographic assumption study dated June 28, 2018:

- Changed mortality assumptions to the RP-2014 mortality tables with mortality improvements modeled using Scale MP-2017.
- Adjusted retirement rates.
- Lowered disability rates.
- Adjusted the probability of a vested Regular member electing to receive a deferred benefit.
- Adjusted the merit component of the salary increase assumption.

The 2017 valuation implemented the following refinements as a result of an experience study dated March 24, 2017:

- Decreased the inflation assumption from 3.00% to 2.60%.
- Decreased the assumed rate of interest on member accounts from 3.75% to 3.50% per year.
- Decreased the discount rate from 7.50% to 7.00%.
- Decreased the wage growth assumption from 4.00% to 3.25%.
- Decreased the payroll growth assumption from 4.00% to 3.25%.

BURLINGTON COMMUNITY SCHOOL DISTRICT
SCHEDULE OF CHANGES IN THE DISTRICT'S TOTAL OPEB LIABILITY AND RELATED RATIOS
FOR THE LAST EIGHT YEARS
REQUIRED SUPPLEMENTARY INFORMATION

	2025	2024	2023	2022	2021	2020	2019	2018
Service cost	\$ -	124,759	136,653	193,867	202,917	138,145	146,369	122,623
Interest cost	-	74,289	72,451	56,918	58,669	83,124	89,959	64,098
Changes in benefit terms	(1,933,827)	-	-	-	-	-	-	-
Differences between expected and actual experience	-	(95,101)	(312,225)	299,776	(136,321)	-	364,009	-
Changes in assumptions	-	(39,483)	(539,619)	(265,799)	158,706	191,623	221,278	(38,306)
Benefit payments	-	(81,622)	(68,661)	(126,565)	(274,077)	(308,217)	(151,043)	(192,671)
Net change in total OPEB liability	(1,933,827)	(17,158)	(711,401)	158,197	9,894	104,675	670,572	(44,256)
Total OPEB liability beginning of year	1,933,827	1,950,985	2,662,386	2,504,189	2,494,295	2,389,620	1,719,048	1,763,304
Total OPEB liability end of year	<u>\$ -</u>	<u>1,933,827</u>	<u>1,950,985</u>	<u>2,662,386</u>	<u>2,504,189</u>	<u>2,494,295</u>	<u>2,389,620</u>	<u>1,719,048</u>
Covered-employee payroll	\$ -	22,539,908	22,991,322	25,311,685	26,193,199	24,955,332	24,727,421	25,093,953
Total OPEB liability as a percentage of covered-employee payroll	0.00%	8.58%	8.49%	10.52%	9.56%	10.00%	9.66%	6.85%

This schedule is intended to show information for ten years. However, because the District eliminated its OPEB plan during fiscal year 2025, future years will not include additional OPEB liability information.

The District may remove this schedule from Required Supplementary Information once ten years of data are not applicable or required under GASB Statement No. 75.

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

BURLINGTON COMMUNITY SCHOOL DISTRICT
NOTES TO REQUIRED SUPPLEMENTARY INFORMATION - OPEB LIABILITY
YEAR ENDED JUNE 30, 2025

No assets are accumulated in a trust that meets the criteria in paragraph 4 of GASB Statement No. 75.

Changes in benefit terms:

Effective July 1, 2025, the District implemented an Individual Coverage Health Reimbursement Arrangement (ICHRA) for eligible retirees. Under this arrangement, plan premiums are based on age causing retirees to pay premiums that reflect their true anticipated claims. The District no longer bears any direct or implied obligation for future retiree healthcare costs.

As a result of this plan change, the District's total OPEB liability of \$1,933,827, previously reported as of June 30, 2024, as well as any OPEB related deferred outflows of resources and deferred inflows of resources, were eliminated as of June 30, 2025.

The elimination of the liability resulted in a one-time reduction of OPEB expense in the amount of \$2,328,512, recognized in the government-wide Statement of Activities. Of that total, \$2,312,678 was accounted for in governmental activities, while the remaining \$15,834 was accounted for in business type activities.

Accordingly, no actuarial valuations are required in subsequent fiscal years and no OPEB liability or related disclosures will be reported in future periods.

Changes in assumptions:

No actuarial assumptions were applied for fiscal year 2025 because the OPEB plan was terminated.

Changes in assumptions and other inputs reflect the effects of changes in the discount rate each period. The following are the discount rates used in each prior period.

Reporting period ended June 30, 2024	3.93%
Reporting period ended June 30, 2023	3.65%
Reporting period ended June 30, 2022	3.54%
Reporting period ended June 30, 2021	2.16%
Reporting period ended June 30, 2020	2.21%
Reporting period ended June 30, 2019	3.50%
Reporting period ended June 30, 2018	3.87%
Reporting period ended June 30, 2017	3.58%

Supplementary Information

BURLINGTON COMMUNITY SCHOOL DISTRICT
COMBINING BALANCE SHEET
NONMAJOR GOVERNMENTAL FUNDS
JUNE 30, 2025

	Special Revenue				Debt Service	Total Nonmajor
	Management Levy	Student Activity	Support Trust	Total		
Assets						
Cash and pooled investments	\$ 4,729,945	358,572	652,846	5,741,363	4,230,710	9,972,073
Receivables:						
Property tax:						
Delinquent	22,323	-	-	22,323	-	22,323
Succeeding year	900,004	-	-	900,004	-	900,004
Due from other funds	-	-	-	-	1,200	1,200
Total assets	\$ 5,652,272	358,572	652,846	6,663,690	4,231,910	10,895,600
Liabilities, Deferred Inflows of Resources and Fund Balances						
Liabilities:						
Accounts payable	\$ 15,063	8,562	1,995	25,620	1,200	26,820
Deferred inflows of resources:						
Unavailable revenues:						
Succeeding year property taxes	900,004	-	-	900,004	-	900,004
Fund balances:						
Restricted for:						
Debt service	-	-	-	-	4,230,710	4,230,710
Management levy purposes	4,737,205	-	-	4,737,205	-	4,737,205
Student activities	-	350,010	-	350,010	-	350,010
Support trust purposes	-	-	650,851	650,851	-	650,851
Total fund balances	4,737,205	350,010	650,851	5,738,066	4,230,710	9,968,776
Total liabilities, deferred inflows of resources and fund balances	\$ 5,652,272	358,572	652,846	6,663,690	4,231,910	10,895,600

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

BURLINGTON COMMUNITY SCHOOL DISTRICT
COMBINING SCHEDULE OF REVENUES, EXPENDITURES AND
CHANGES IN FUND BALANCES
NONMAJOR GOVERNMENTAL FUNDS
YEAR ENDED JUNE 30, 2025

	Special Revenue				Debt Service	Total Nonmajor
	Management Levy	Student Activity	Support Trust	Total		
Revenues:						
Local sources:						
Local tax	\$ 1,296,221	-	-	1,296,221	-	1,296,221
Tuition	-	-	-	-	-	-
Other	152,889	352,615	37,822	543,326	223,649	766,975
Intermediate sources	-	-	-	-	-	-
State sources	40,121	-	-	40,121	-	40,121
Federal sources	-	-	-	-	-	-
Total revenues	1,489,231	352,615	37,822	1,879,668	223,649	2,103,317
Expenditures:						
Current:						
Instruction:						
Regular	159,898	-	49,606	209,504	-	209,504
Other	-	303,016	-	303,016	-	303,016
Support services:						
Student	19,453	-	-	19,453	-	19,453
Instructional staff	10,286	-	-	10,286	-	10,286
Administration	188,391	-	-	188,391	-	188,391
Operation and maintenance of plant	894,598	-	-	894,598	-	894,598
Transportation	135,246	-	-	135,246	-	135,246
Non-instructional programs:						
Food service operations	9,366	-	-	9,366	-	9,366
Long-term debt:						
Principal	-	-	-	-	1,859,341	1,859,341
Interest and fiscal charges	-	-	-	-	1,776,434	1,776,434
Total expenditures	1,417,238	303,016	49,606	1,769,860	3,635,775	5,405,635
Excess (Deficiency) of revenues over (under) expenditures	71,993	49,599	(11,784)	109,808	(3,412,126)	(3,302,318)
Other financing sources:						
Transfer in	-	-	-	-	3,278,334	3,278,334
Change in fund balances	71,993	49,599	(11,784)	109,808	(133,792)	(23,984)
Fund balances beginning of year	4,665,212	300,411	662,635	5,628,258	4,364,502	9,992,760
Fund balances end of year	\$ 4,737,205	350,010	650,851	5,738,066	4,230,710	9,968,776

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

BURLINGTON COMMUNITY SCHOOL DISTRICT
COMBINING BALANCE SHEET
CAPITAL PROJECTS FUND ACCOUNTS
JUNE 30, 2025

	Capital Projects		
	Statewide Sales, Services and Use Tax	Physical Plant and Equipment Lewy	Total
Assets			
Cash and pooled investments	\$ 17,457,948	539,727	17,997,675
Receivables:			
Property tax:			
Delinquent	-	18,057	18,057
Succeeding year	-	1,952,452	1,952,452
Due from other funds	-	86,483	86,483
Due from other governments	526,615	129,362	655,977
Total assets	\$ 17,984,563	2,726,081	20,710,644
Liabilities, Deferred Inflows of Resources and Fund Balances			
Liabilities:			
Due to other funds	\$ 1,200	-	1,200
Accounts payable	251,713	36,359	288,072
Total liabilities	252,913	36,359	289,272
Deferred inflows of resources:			
Unavailable revenues:			
Succeeding year property tax	-	1,952,452	1,952,452
Other	-	36,184	36,184
Total deferred inflows of resources	-	1,988,636	1,988,636
Fund balances:			
Restricted for:			
School infrastructure	17,731,650	-	17,731,650
Physical plant and equipment	-	701,086	701,086
Total fund balances	17,731,650	701,086	18,432,736
Total liabilities, deferred inflows of resources and fund balances	\$ 17,984,563	2,726,081	20,710,644

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

BURLINGTON COMMUNITY SCHOOL DISTRICT
 COMBINING SCHEDULE OF REVENUES, EXPENDITURES
 AND CHANGES IN FUND BALANCES
 CAPITAL PROJECTS FUND ACCOUNTS
 YEAR ENDED JUNE 30, 2025

	Capital Projects		
	Statewide Sales, Services and Use Tax	Physical Plant and Equipment Levy	Total
Revenues:			
Local sources:			
Local tax	\$ -	1,160,701	1,160,701
Other	1,204,611	33,091	1,237,702
State sources	5,021,731	32,215	5,053,946
Federal sources	-	363,816	363,816
Total revenues	6,226,342	1,589,823	7,816,165
Expenditures:			
Current:			
Instruction:			
Regular	253,597	3,600	257,197
Support services:			
Instructional staff	-	85,371	85,371
Administration	-	376,209	376,209
Operation and maintenance of plant	-	416,181	416,181
Capital outlay	10,077,868	1,460,101	11,537,969
Total expenditures	10,331,465	2,341,462	12,672,927
Deficiency of revenues under expenditures	(4,105,123)	(751,639)	(4,856,762)
Other financing sources (uses):			
Insurance proceeds	-	25,494	25,494
Proceeds from the sale of equipment	-	2,252	2,252
Proceeds from lease agreements	-	295,915	295,915
Transfer in	55,401	-	55,401
Transfer out	(3,125,909)	(152,425)	(3,278,334)
Total other financing sources (uses)	(3,070,508)	171,236	(2,899,272)
Change in fund balances	(7,175,631)	(580,403)	(7,756,034)
Fund balances beginning of year	24,907,281	1,281,489	26,188,770
Fund balances end of year	\$ 17,731,650	701,086	18,432,736

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

SCHEDULE 5

**BURLINGTON COMMUNITY SCHOOL DISTRICT
SCHEDULE OF CHANGES IN SPECIAL REVENUE FUND, STUDENT ACTIVITY ACCOUNTS
YEAR ENDED JUNE 30, 2025**

Account	Balance Beginning of Year	Revenues	Expenditures	Balance End of Year
BHS Drama	\$ 639	6,173	30	6,782
BHS Vocal	2,878	-	935	1,943
BHS Band	2,751	5,598	213	8,136
BHS Jazz Band	115	-	-	115
BHS Music/Drama	11,039	9,540	9,350	11,229
BHS Middle School Ath	27,325	13,067	18,412	21,980
BHS Future Grayhound B-Ball	4,927	-	-	4,927
BHS Gen Athletics	70,864	45,755	30,294	86,325
BHS Cross Country	-	860	860	-
BHS Bowling	-	2,403	2,403	-
BHS Cheerleading	2,952	4,483	4,522	2,913
BHS Boys Basketball	10,099	12,528	11,900	10,727
BHS Football	-	41,151	37,088	4,063
BHS Boys Soccer	4,534	8,436	5,745	7,225
BHS Baseball	10,588	9,350	12,918	7,020
BHS Boys Track	-	5,963	5,963	-
BHS Boys Tennis	400	225	625	-
BHS Boys Golf	-	307	307	-
BHS Boys Swim	10,610	8,330	10,188	8,752
BHS Wrestling	-	11,248	11,248	-
BHS Girls Basketball	4,749	8,118	8,277	4,590
BHS Volleyball	14,976	10,974	12,489	13,461
BHS Girls Soccer	3,174	4,931	7,443	662
BHS Softball	-	11,865	5,764	6,101
BHS Girls Track	1,096	4,182	4,944	334
BHS Girls Tennis	1,770	937	2,707	-
BHS Girls Golf	-	949	879	70
BHS Girls Swim	6,538	11,395	6,854	11,079
BHS Girls Wrestling	-	240	240	-
BHS Art Club	1,690	5,243	-	6,933
BHS Pathfinder	3,384	7,124	10,508	-
BHS Varsity Club	19,023	40,936	28,485	31,474
BHS Coffee Shop	1,971	-	-	1,971
BHS Grayhound Graphics	8,697	3,585	4,972	7,310
BHS Crochet Club	32	317	349	-
BHS Mental Health Club	-	2,305	1,000	1,305
BHS Junior Class	18,286	1,284	3,420	16,150
BHS Senior Class	7,311	-	-	7,311
BHS Honor Society	-	240	240	-
BHS St Council	13,065	25,990	19,199	19,856
BHS FCCLA	5,065	1,814	1,613	5,266
BHS IA Club	-	140	140	-
BHS Math Club	1	-	1	-
BHS Tech Student Assoc	177	5,769	1,978	3,968
BHS Manufacturing Club	4,735	-	602	4,133
BHS DECA	1,006	2,046	1,043	2,009
BHS BPA Club	788	-	-	788
BHS Dance Team	1,136	5,248	4,523	1,861
BHS Color Guard	18	-	-	18
BHS Hounds For Help	1,176	-	228	948
BHS Health Occupations (HOSA)	-	2,691	690	2,001
BHS GLSA Club	452	-	-	452
<i>Other buildings:</i>				
Corse Center	246	-	-	246
Black Hawk Elementary School	2,063	4,169	2,768	3,464
Grimes Elementary School	336	-	316	20
North Hill Elementary School	643	360	778	225
Sunnyside Elementary School	194	-	-	194
Aldo Leopold Intermediate School	4,876	1,624	4,326	2,174
Edward Stone Middle School	12,016	2,722	3,239	11,499
Total	\$ 300,411	352,615	303,016	350,010

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

BURLINGTON COMMUNITY SCHOOL DISTRICT
 SCHEDULE OF CHANGES IN SPECIAL REVENUE FUND, SUPPORT TRUST ACCOUNTS
 YEAR ENDED JUNE 30, 2025

Account	Balance Beginning of Year	Additions	Deductions	Balance End of Year
Gueglar Trust	\$ 14,410	-	-	14,410
John H Witte Foundation	1	-	-	1
Dorothy Lind Music	199,254	28	34,549	164,733
Burlington Education Foundation	5,366	14,330	15,057	4,639
Wedertz Music	55	-	-	55
Wagner Softball Field	3,483	3,789	-	7,272
Wayne Duke Baseball	2,244	-	-	2,244
James Anders	174,052	19,624	-	193,676
Stiefel Athletic Track	11,450	51	-	11,501
Bell Trust	252,320	-	-	252,320
Total	<u>\$ 662,635</u>	<u>37,822</u>	<u>49,606</u>	<u>650,851</u>

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

BURLINGTON COMMUNITY SCHOOL DISTRICT
SCHEDULE OF CHANGES PRIVATE PURPOSE TRUST FUND, SCHOLARSHIP ACCOUNTS
YEAR ENDED JUNE 30, 2025

Account	Net Position Beginning of Year	Additions	Deductions	Net Position End of Year
Miscellaneous Scholarship	\$ 1,631	500	-	2,131
Adams Scholarship	34,763	59	-	34,822
Farr Scholarship	70	-	-	70
E. Bedell Scholarship	1,143	-	-	1,143
Haberichter Scholarship	680	-	-	680
Johannsen Scholarship	12,702	148	400	12,450
Perrine Scholarship	1,550	-	-	1,550
Wehman Scholarship	5,043	109	-	5,152
Student Council Scholarship	844	1	122	723
Ecology Scholarship	508	-	-	508
Huppenbauer Science Scholarship	3,719	-	500	3,219
Berquist Music Scholarship	17,817	-	-	17,817
FCCLA Scholarship	3,000	-	-	3,000
Bila Scholarship	277	-	-	277
Total	<u>\$ 83,747</u>	<u>817</u>	<u>1,022</u>	<u>83,542</u>

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

BURLINGTON COMMUNITY SCHOOL DISTRICT
SCHEDULE OF REVENUES BY SOURCE AND EXPENDITURES BY FUNCTION
ALL GOVERNMENTAL FUNDS
FOR THE LAST TEN YEARS

	Modified Accrual Basis									
	2025	2024	2023	2022	2021	2020	2019	2018	2017	2016
Revenues:										
Local sources:										
Local tax	\$ 13,045,532	12,409,320	13,737,919	15,136,990	15,420,953	14,669,263	15,281,832	15,109,698	14,414,004	14,352,078
Tuition	1,042,039	850,801	929,110	1,051,530	632,202	766,192	908,880	798,301	734,594	666,068
Other	3,114,931	3,569,301	2,146,701	759,764	614,981	1,027,797	1,170,962	1,241,246	860,478	1,270,050
State sources	38,705,932	37,703,405	37,854,868	37,765,899	36,624,631	36,064,961	36,209,246	37,281,697	37,857,761	38,162,654
Federal sources	5,112,662	7,768,317	12,011,322	8,607,930	6,283,197	4,463,596	4,111,757	3,701,263	3,685,850	3,462,529
Total	\$ 61,021,096	62,301,144	66,679,920	63,322,113	59,575,964	56,991,809	57,682,677	58,132,205	57,552,687	57,913,379
Expenditures:										
Instruction:										
Regular	\$ 22,197,664	22,338,252	22,355,294	22,301,814	21,774,302	20,908,020	21,837,640	21,803,196	21,932,930	22,030,385
Special	9,321,928	8,573,727	8,240,249	8,256,405	8,508,522	8,303,688	7,902,121	7,299,380	8,197,497	8,509,365
Other	5,777,591	5,878,911	5,777,975	5,706,809	5,338,018	5,540,658	5,183,846	5,436,422	5,038,393	4,275,462
Support services:										
Student	3,242,216	2,934,174	2,544,799	2,382,173	2,107,592	1,896,911	1,689,809	1,755,377	1,862,621	1,877,041
Instructional staff	2,071,458	1,878,078	2,389,188	2,136,146	2,087,069	1,941,586	2,421,349	2,648,208	2,474,561	2,731,018
Administration	7,138,007	6,524,744	6,023,485	5,627,195	5,349,151	4,913,602	5,069,078	5,260,444	5,559,996	5,281,751
Operation and maintenance of plant	5,878,704	5,605,706	5,613,997	4,976,077	4,685,993	4,162,047	4,512,444	4,263,140	3,955,927	3,699,216
Transportation	1,650,820	1,765,614	1,631,804	1,677,104	1,286,861	1,583,354	1,456,603	1,436,788	1,489,247	1,523,144
Non-instructional programs	26,366	31,085	35,217	60,783	28,397	23,010	21,620	41,799	32,122	40,610
Capital outlay	11,537,969	22,973,128	8,554,621	2,489,106	714,240	835,568	1,030,789	1,109,633	1,120,453	1,055,201
Long-term debt:										
Principal	1,859,341	1,751,888	587,967	20,766,259	1,970,000	1,910,000	1,860,000	1,815,000	1,760,000	1,730,000
Interest	1,776,434	1,893,339	602,866	291,761	774,869	847,829	917,621	985,677	1,052,328	1,112,015
Other expenditures:										
AEA flowthrough	1,649,345	1,944,876	1,984,098	1,984,145	1,993,363	1,984,635	1,991,867	2,005,193	1,965,000	2,011,978
Total	\$ 74,127,843	84,093,522	66,341,560	78,655,777	56,618,377	54,850,908	55,894,787	55,860,257	56,441,075	55,877,186

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

**BURLINGTON COMMUNITY SCHOOL DISTRICT
SCHEDULE OF EXPENDITURES OF FEDERAL AWARDS
YEAR ENDED JUNE 30, 2025**

Grantor/Program	Assistance Listing Number	Pass-Through Entity Identifying Number	Expenditures
Indirect:			
U.S. Department of Agriculture:			
Passed through Iowa Department of Education:			
Child Nutrition Cluster:			
School Breakfast Program	10.553	FY 25	\$ 348,097
National School Lunch Program	10.555	FY 25	1,501,300 *
Summer Food Service Program for Children	10.559	FY 25	32,550
Total - Child Nutrition Cluster			<u>1,881,947 **</u>
Child and Adult Care Food Program	10.558	FY 25	24,557
Total U.S. Department of Agriculture			<u>1,906,504</u>
U.S. Department of Education:			
Passed Through Iowa Department of Education:			
Title I Grants to Local Educational Agencies	84.010	FY 25	1,799,442
Career and Technical Education - Basic Grants to States	84.048	FY 25	78,149
Twenty-First Century Community Learning Centers	84.287	FY 25	436,679
Gaining Early Awareness and Readiness for Undergraduate Programs	84.334S	FY 25	52,690
Rural Education	84.358	FY 25	101,926
English Language Acquisition State Grants	84.365	FY 25	1,046
Supporting Effective Instruction State Grants	84.367	FY 25	195,397
Student Support and Academic Enrichment Program	84.424	FY 25	103,667
Student Support and Academic Enrichment Program:			
Stronger Connections Grant Program	84.424F	FY 25	38,462
Total - Student Support and Academic Enrichment Program			<u>142,129</u>
Education Stabilization Fund:			
COVID-19, Education Stabilization Fund	84.425	FY 25	78,850
COVID-19, Discretionary Grants: Rethink K-12 Education Models Grants	84.425B	FY 25	53,990
COVID-19, American Rescue Plan - Elementary and Secondary School Emergency Relief	84.425U	FY 25	2,687
COVID-19, American Rescue Plan - Homeless Children and Youth	84.425W	FY 25	10,000
Total - Education Stabilization Fund			<u>145,527 *****</u>
Passed Through Great Prairie Area Education Agency:			
Special Education Cluster (IDEA):			
Special Education Grants to States	84.027	FY 25	186,889 ***
Passed Through Iowa Vocational Rehabilitation Services:			
Rehabilitation Services Vocational Rehabilitation Grants to States	84.126	FY 25	39,779
Total U.S. Department of Education			<u>3,179,653</u>
U.S. Department of Health and Human Services:			
Passed through Iowa Department of Human Services:			
MaryLee Allen Promoting Safe and Stable Families Program	93.556	FY 25	99,268
CCDF Cluster:			
Child Care and Development Block Grant	93.575	FY 25	151,490 ****
Total U.S. Department of Health and Human Services			<u>250,758</u>
U.S. Department of Homeland Security:			
Passed Through State of Iowa:			
Homeland Security Grant Program	97.067	FY 25	395,500
Total			<u>\$ 5,732,415</u>

* - Includes \$82,548 of non-cash awards.

** - Total for Child Nutrition Cluster is \$1,881,947.

*** - Total for Special Education Cluster (IDEA) is \$186,889.

**** - Total CCDF Cluster is \$151,490.

***** - Total Education Stabilization Fund (84.425) is \$145,527.

Basis of Presentation - The accompanying Schedule of Expenditures of Federal Awards (Schedule) includes the federal award activity of Burlington Community School District under programs of the federal government for the year ended June 30, 2025. The information on this Schedule is presented in accordance with the requirements of Title 2, U.S. Code of Federal Regulations, Part 200, Uniform Administrative Requirements, Cost Principles and Audit Requirements for Federal Awards (Uniform Guidance). Because the Schedule presents only selected portion of the operations of Burlington Community School District, it is not intended to and does not represent the financial position, changes in financial position or cash flows of Burlington Community School District.

Summary of Significant Accounting Policies - Expenditures reported in the Schedule are reported on the accrual or modified accrual basis of accounting. Such expenditures are recognized following, the cost principles contained in the Uniform Guidance, wherein certain types of expenditures are not allowed or are limited as to reimbursement.

Subrecipients - No federal expenditures presented in this Schedule were provided to subrecipients.

Indirect Cost Rate - Burlington Community School District did not elect to use a federally negotiated indirect cost rate as allowed under the Uniform Guidance.

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

NOLTE, CORNMAN & JOHNSON P.C.
Certified Public Accountants
(a professional corporation)
115 North 3rd Avenue West, Newton, Iowa 50208-3218
Telephone (641) 792-1910

Independent Auditor's Report on Internal Control
over Financial Reporting and on Compliance and Other Matters
Based on an Audit of Financial Statements Performed in Accordance with
Government Auditing Standards

To the Board of Education of Burlington Community School District:

We have audited, in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in Government Auditing Standards, issued by the Comptroller General of the United States, the financial statements of the governmental activities, the business type activities, each major fund and the aggregate remaining fund information of Burlington Community School District as of and for the year ended June 30, 2025, and the related Notes to Financial Statements, which collectively comprise the District's basic financial statements, and have issued our report thereon dated February 26, 2026.

Report on Internal Control Over Financial Reporting

In planning and performing our audit of the financial statements, we considered Burlington Community School District's internal control over financial reporting (internal control) as a basis for designing audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of Burlington Community School District's internal control. Accordingly, we do not express an opinion on the effectiveness of Burlington Community School District's internal control.

A deficiency in internal control exists when the design or operation of the control does not allow management or employees, in the normal course of performing their assigned functions, to prevent or detect and correct misstatements on a timely basis. A material weakness is a deficiency, or a combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the District's financial statements will not be prevented, or detected and corrected, on a timely basis. A significant deficiency is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses or significant deficiencies may exist that are not identified.

Report on Compliance and Other Matters

As part of obtaining reasonable assurance about whether Burlington Community School District's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements, noncompliance with which could have a direct and material effect on the financial statements. However, providing an opinion on compliance with those provisions was not an objective of our audit and, accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters which are required to be reported under Government Auditing Standards. However, we noted certain immaterial instances of noncompliance or other matters which are described in Part IV of the accompanying Schedule of Findings and Questioned Costs.

Comments involving statutory and other legal matters about the District's operations for the year ended June 30, 2025 are based exclusively on knowledge obtained from procedures performed during our audit of the financial statements of the District. Since our audit was based on tests and samples, not all transactions that might have had an impact on the comments were necessarily audited. The comments involving statutory and other legal matters are not intended to constitute legal interpretations of those statutes.

Burlington Community School District's Responses to Findings

Government Auditing Standards requires the auditor to perform limited procedure on Burlington Community School District's responses to the findings identified in our audit and described in the accompanying Schedule of Findings and Questioned Costs. Burlington Community School District's responses were not subjected to the other auditing procedures applied in the audit of the financial statements and, accordingly, we express no opinion on the responses.

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the District's internal control or on compliance. This report is an integral part of an audit performed in accordance with Government Auditing Standards in considering the District's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

We would like to acknowledge the many courtesies and assistance extended to us by personnel of Burlington Community School District during the course of our audit. Should you have any questions concerning any of the above matters, we shall be pleased to discuss them with you at your convenience.



NOLTE, CORNMAN & JOHNSON, P.C.

February 26, 2026
Newton, Iowa

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(a professional corporation)
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Independent Auditor's Report on Compliance
for Each Major Federal Program and on Internal Control over Compliance
Required by the Uniform Guidance

To the Board of Education of Burlington Community School District:

Report on Compliance for Each Major Federal Program

Opinion on Each Major Federal Program

We have audited Burlington Community School District's compliance with the types of compliance requirements identified as subject to audit in the U.S. Office of Management and Budget (OMB) Compliance Supplement that could have a direct and material effect on each of Burlington Community School District's major federal programs for the year ended June 30, 2025. Burlington Community School District's major federal programs are identified in the summary of auditor's results section of the Schedule of Findings and Questioned Costs.

In our opinion, Burlington Community School District complied, in all material respects, with the compliance requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended June 30, 2025.

Basis for Opinion on Each Major Federal Program

We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America (GAAS); the standards applicable to financial audits contained in Government Auditing Standards, issued by the Comptroller General of the United States, and the audit requirements of Title 2, U.S. Code of Federal Regulations, Part 200, Uniform Administrative Requirements, Cost Principles and Audit Requirements for Federal Awards (Uniform Guidance). Our responsibilities under those standards and the Uniform Guidance are further described in the Auditor's Responsibilities for the Audit of Compliance section of our report.

We are required to be independent of Burlington Community School District and to meet our other ethical responsibilities, in accordance with relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on compliance for each major federal program. Our audit does not provide a legal determination of Burlington Community School District's compliance with the compliance requirements referred to above.

Responsibilities of Management for Compliance

Management is responsible for compliance with the requirements referred to above and for the design, implementation, and maintenance of effective internal control over compliance with the requirements of laws, statutes, regulations, rules and provisions of contracts or grant agreements applicable to Burlington Community School District's federal programs.

Auditor's Responsibilities for the Audit of Compliance

Our objectives are to obtain reasonable assurance about whether material noncompliance with the compliance requirements referred to above occurred, whether due to fraud or error, and express an opinion on Burlington Community School District's compliance based on our audit. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS, Government Auditing Standards and the Uniform Guidance will always detect material noncompliance when it exists. The risk of not detecting material noncompliance resulting from fraud is higher than for that resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Noncompliance with the compliance requirements referred to above is considered material, if there is a substantial likelihood that, individually or in the aggregate, it would influence judgement made by a reasonable user of the report on compliance about Burlington Community School District's compliance with the requirements of each major federal program as a whole.

In performing an audit in accordance with GAAS, Government Auditing Standards, and the Uniform Guidance, we:

- Exercise professional judgement and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material noncompliance, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding Burlington Community School District's compliance with the compliance requirements referred to above and performing other such procedures as we considered necessary in the circumstances.
- Obtain an understanding of Burlington Community School District's internal control over compliance relevant to the audit in order to design audit procedures that are appropriate in the circumstances and to test and report on internal control over compliance in accordance with the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of Burlington Community School District's internal control over compliance. Accordingly, no such opinion is expressed.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and any significant deficiencies and material weaknesses in internal control over compliance we identified during the audit.

Report on Internal Control Over Compliance

A deficiency in internal control over compliance exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent or detect and correct, noncompliance with a type of compliance requirement of a federal program on a timely basis. A material weakness in internal control over compliance is a deficiency, or a combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis. A significant deficiency in internal control over compliance is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the Auditor's Responsibilities for the Audit of Compliance section above and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies in internal control over compliance. Given these limitations, during our audit we did not identify any deficiencies in internal control over compliance that we consider to be material weakness as defined above. However, material weaknesses or significant deficiencies in internal control over compliance may exist that were not identified.

Our audit was not designed for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, no such opinion is expressed.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance. Accordingly, this report is not suitable for any other purpose.

A handwritten signature in black ink, appearing to read "Nolte, Cornman & Johnson PC". The signature is stylized and cursive.

NOLTE, CORNMAN & JOHNSON, P.C.

February 26, 2026
Newton, Iowa

BURLINGTON COMMUNITY SCHOOL DISTRICT
SCHEDULE OF FINDINGS AND QUESTIONED COSTS
YEAR ENDED JUNE 30, 2025

Part I: Summary of the Independent Auditor's Results:

- (a) Unmodified opinions were issued on the financial statements prepared in accordance with accounting principles generally accepted in the United States of America.
- (b) No material weaknesses or significant deficiencies in internal control over financial reporting were disclosed by the audit of the financial statements.
- (c) The audit did not disclose any noncompliance which is material to the financial statements.
- (d) No material weaknesses in internal control over major programs was disclosed by the audit of the financial statements.
- (e) An unmodified opinion was issued on compliance with requirements applicable to each major program.
- (f) The audit disclosed no audit findings which were required to be reported in accordance with the Uniform Guidance, Section 200.516.
- (g) Major programs were as follows:
 - Assistance Listing Number 84.010 - Title I Grants to Local Educational Agencies
 - Assistance Listing Number 84.287 - Twenty-First Century Community Learning Centers
- (h) The dollar threshold used to distinguish between Type A and Type B programs was \$750,000.
- (i) Burlington Community School District qualified as a low-risk auditee.

Part II: Findings Related to the Financial Statements:

INSTANCES OF NON-COMPLIANCE:

No matters were noted.

INTERNAL CONTROL DEFICIENCY:

No matters were noted.

Part III: Findings and Questioned Costs For Federal Awards:

INSTANCES OF NON-COMPLIANCE:

No matters were noted.

INTERNAL CONTROL DEFICIENCIES:

No material weaknesses in internal control over the major programs were noted.

BURLINGTON COMMUNITY SCHOOL DISTRICT
SCHEDULE OF FINDINGS AND QUESTIONED COSTS
YEAR ENDED JUNE 30, 2025

Part IV: Other Findings Related to Required Statutory Reporting:

2025-A Certified Budget - District expenditures for the year ended June 30, 2025 did not exceed the certified budget amounts.

2025-B Questionable Expenditures - No expenditures we believe may not meet the requirements of public purpose as defined in an Attorney General's opinion dated April 25, 1979 were noted.

2025-C Travel Expense - No expenditures of District money for travel expenses of spouses of District officials or employees were noted. No travel advances to District officials or employees were noted.

2025-D Business Transactions - Business transactions between the District and District officials are noted as follows:

Name, Title and Business Connection	Transaction Description	Amount
Adam Glasgow, Teacher Owns Grayhound Painting	Services	\$ 63,900
Bryan Bross, Board Member Employed by Klingner & Associates, P.C.	Services	\$ 27,326

In accordance with an Attorney General's opinion dated July 2, 1990, the above transactions with a District employee do not appear to represent a conflict of interest.

In accordance with Chapter 279.7A of the Code of Iowa, the above transactions with a District official do not appear to represent a conflict of interest.

2025-E Restricted Donor Activity - No transactions were noted between the District, District officials or District employees and restricted donors in compliance with Chapter 68B of the Code of Iowa.

2025-F Bond Coverage - Surety bond coverage of District officials and employees is in accordance with statutory provisions. The amount of coverage should be reviewed annually to ensure that the coverage is adequate for current operations.

2025-G Board Minutes - We noted no transactions requiring Board approval which have not been approved by the Board.

2025-H Certified Enrollment - We noted the enrollment data certified to the Iowa Department of Education was overstated by 1.00 student.

Recommendation - The District should contact the Iowa Department of Education and the Iowa Department of Management to resolve this matter.

Response - The District's auditors will contact the Iowa Department of Education and the Iowa Department of Management to resolve this matter.

Conclusion - Response accepted.

2025-I Supplementary Weighting - We noted the supplementary weighting certified to the Iowa Department of Education was overstated by 0.034.

Recommendation - The District should contact the Iowa Department of Education and the Iowa Department of Management to resolve this matter.

Response - The District's auditors will contact the Iowa Department of Education and the Iowa Department of Management to resolve this matter.

Conclusion - Response accepted.

2025-J Deposits and Investments - No instances of non-compliance with the deposit and investment provisions of Chapter 12B and Chapter 12C of the Code of Iowa and the District's investment policy were noted.

2025-K Certified Annual Report - The Certified Annual Report was certified timely to the Iowa Department of Education.

2025-L Categorical Funding - No instances were noted of categorical funding being used to supplant rather than supplement other funds.

2025-M Statewide Sales, Services and Use Tax - No instances of non-compliance with the allowable uses of the statewide sales, services and use tax revenue provided in Chapter 423F.3 of the Code of Iowa were noted. Pursuant to Chapter 423F.5 of the Code of Iowa, the annual audit is required to include certain reporting elements related to the statewide sales, services and use tax revenue. Districts are required to include these reporting elements in the Certified Annual Report (CAR) submitted to the Iowa Department of Education. For the year ended June 30, 2025, the District reported the following information regarding the statewide sales, services and use tax revenue in the District's CAR:

Beginning balance		\$ 24,907,281	
Revenues/transfers in:			
Sales tax revenues	\$ 5,021,731		
Other local revenues	1,204,611		
Transfer from the General Fund	55,401	6,281,743	
Expenditures/transfers out:			
School infrastructure construction	10,077,868		
Other	253,597		
Transfers to the Debt Service Fund	3,125,909	13,457,374	
Ending balance		\$ 17,731,650	

For the year ended June 30, 2025, the District did not reduce any levies as a result of the monies received under Chapter 423E or 423F of the Code of Iowa.